INDEPENDENT AUDITORS' REPORT

To the Members of Britannia Industries Limited

Report on the Audit of the Standalone Financial Statements

Opinion

1. We have audited the accompanying standalone financial statements of Britannia Industries Limited ('the Company'), which comprise the Balance Sheet as at 31 March 2021, the Statement of Profit and Loss (including Other Comprehensive Income), the Cash Flow Statement and the Statement of Changes in Equity for the year then ended, and a summary of the significant accounting policies and other explanatory information.
2. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ('Act') in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India including Indian Accounting Standards ('Ind AS') specified under Section 133 of the Act, of the state of affairs of the Company as at 31 March 2021, its profit (including other comprehensive income), its cash flows and the changes in equity for the year ended on that date.
3. We conducted our audit in accordance with the Standards on Auditing specified under Section 143(10) of the Act. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ('ICAI') together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

4. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the standalone financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.
5. We have determined the matters described below to be the key audit matters to be communicated in our report.

Key audit matter	How our audit addressed the key audit matter
Revenue Recognition (refer note 3(h) and 26 to the standalone financial statements) The revenue of the Company consists primarily of sale of food products that are sold through distributors, modern trade and direct sale channels amongst others. Revenue is recognized when the control of products is transferred to customer and there is no unfulfilled obligation. Owing to the volume of sales transactions, size of the distribution network and varied terms of contracts with customers, revenue is determined to be an area involving significant risk in line with the requirements of the Standards on Auditing and hence, requiring significant auditor attention.	Our key audit procedures around revenue recognition included, and not limited to, the following: • Assessed the appropriateness of the revenue recognition accounting policies of the Company including those relating to rebates and trade discounts, by evaluating compliance with the applicable accounting standards. • Evaluated the design and tested the operating effectiveness of the relevant key controls with respect to revenue recognition including general and specific information technology controls. • Performed substantive testing on selected samples of revenue transactions recorded during the year by testing the underlying documents including contracts, invoices, goods dispatch notes, shipping documents and customer receipts, wherever applicable. • Understood and evaluated the Company's process for recording of the accruals for discounts and rebates and ongoing incentive schemes and tested the year-end provisions made in respect of such schemes.

Key audit matter	How our audit addressed the key audit matter
The management is required to make certain key judgements around determination of transaction price in accordance with the requirements of Ind AS 115, "Revenue from Contracts with Customers" on account of consideration payable to customers in the form of various discount schemes, returns and rebates. The Company and its external stakeholders focus on revenue as a key performance indicator and this could create an incentive for revenue to be overstated or recognised before control has been transferred. Considering the aforesaid significance to our audit and the external stakeholders, revenue recognition has been considered as a key audit matter for the current year's audit.	• Performed analytical review procedures on revenue recognised during the year to identify any unusual and/or material variances. • Performed confirmation procedures on selected invoices outstanding as at the year end. • Tested selected samples of revenue transactions recorded before and after the financial year end date to determine whether the revenue has been recognised in the appropriate financial period. • Tested a sample of manual journal entries posted to revenue ledgers to identify any unusual items. • Evaluated the appropriateness and adequacy of disclosures in the standalone financial statements in respect of revenue recognition in accordance with the applicable requirements.

Key audit matter	How our audit addressed the key audit matter
Related Party Transactions (refer note 45 to the standalone financial statements) The Company has entered into several transactions with related parties during the year ended 31 March 2021 and also has outstanding balances as at the year end. We identified related party transactions as a key audit matter due to the risk with respect to completeness of disclosures made in the standalone financial statements due to a volume of such transactions, recoverability of balances outstanding, compliance with statutory regulations governing related party transactions such as the Companies Act, 2013 and Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations 2015 ('the SEBI listing regulations'), and the judgements involved in assessing whether transactions with related parties are undertaken at arms' length.	**Our key audit procedures around related party transactions included, but were not limited to, the following:** Our key audit procedures around related party transactions included, but were not limited to, the following: • Evaluated the design and tested operating effectiveness of the relevant key controls to identify and disclose related party relationships and transactions in accordance with the relevant accounting standards. • Assessed the compliance with the SEBI listing regulations and the regulations under the Companies Act, 2013, including authorization and approvals as specified in Sections 177 and 188 of the Companies Act, 2013 with respect to the related party transactions, as applicable. In cases where the matter was subject to interpretation, we assessed reasonableness of management's judgement by considering the advice obtained by management from legal practitioners. • On a sample basis, inspected relevant ledgers, agreements and other information that may indicate the existence of related party relationships or transactions. We also assessed the completeness of related parties with reference to the various statutory registers and declarations maintained by the Company's management. • Verified the management's assessment of recoverability of dues from related parties by reference to underlying supporting documents valuation of underlying assets of such entities and settlement of such transactions subsequent to the balance sheet date.

Key audit matter	How our audit addressed the key audit matter
	• On a sample basis, tested the Company's assessment of related party transactions for arms' length pricing. • Considered the adequacy and appropriateness of the disclosures made in the standalone financial statements of related party relationships and transactions in accordance with the requirements of applicable accounting standard.

Key audit matter	How our audit addressed the key audit matter
Litigations, provisions and contingencies (refer note 25 and 36 to the standalone financial statements) The Company is involved in various direct, indirect tax and other litigations ('litigations') that are pending with different statutory authorities. Provisions are recognized when the Company has a present obligation (legal/ constructive) as a result of a past event for which it is probable that a cash outflow will be required and a reliable estimate can be made of the amount of the obligation. A disclosure for contingent liabilities is made where there is a possible obligation or a present obligation that may probably not require an outflow of resources. When there is a possible or a present obligation where the likelihood of outflow of resources is remote, no provision or disclosure is made. The aforesaid assessment requires the Management to make judgements and estimates in relation to the matters and exposures arising from a range of matters relating to direct tax, indirect tax, claims, general legal proceedings and other claims against the Company arising in the regular course of business. The level of management judgement associated with determining the need for, and the quantum of, provisions for any liabilities and disclosures of any contingent liabilities arising from these litigations is considered to be high. This judgement is dependent on a number of significant assumptions and assessments which involves interpreting the various applicable rules, regulations, practices and considering precedents in the various jurisdictions, for which the management uses various subject matter experts. In view of the uncertainty relating to the outcome of these litigations, the significance of the amounts involved, and the subjectivity involved in management's judgement, this matter has been considered as a key audit matter for the current year audit.	Our key audit procedures around litigations, provisions and contingencies included, but not limited to, the following: • Assessed the appropriateness of the Company's accounting policies relating to provisions and contingent liability by comparing with the applicable accounting standards. • Evaluated the design and operating effectiveness of the relevant key controls around the recording and assessment of litigations, provisions and contingent liabilities. • Engaged subject matter specialists to gain an understanding of the current status of litigations and monitored changes in the disputes, if any, through discussions with the management and by reading external advice received by the Company from legal counsel, where relevant, to validate management's conclusions. • Obtained and assessed the Company's assumptions and estimates in respect of litigations, including the liabilities or provisions recognized or contingent liabilities disclosed in the standalone financial statements. This involved comparing the same to the assessment of the Auditors' subject matter specialists and assessing the probability of an unfavourable outcome of a given proceeding and the reliability of estimates of related amounts. • On a test basis, performed substantive procedures on the underlying calculations supporting the provisions recorded. • Assessed the appropriateness and adequacy of the disclosures made in relation to related provisions and contingencies in the standalone financial statements.

Information other than the Financial Statements and Auditor's Report thereon

6. The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Annual Report but does not include the standalone financial statements and our auditor's report thereon. The Annual Report is expected to be made available to us after the date of this auditor's report.

   Our opinion on the standalone financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

   In connection with our audit of the standalone financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated.

   When we read the Annual Report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Standalone Financial Statements

7. The accompanying standalone financial statements have been approved by the Company's Board of Directors. The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Ind AS specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

8. In preparing the standalone financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

9. Those Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

10. Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

11. As part of an audit in accordance with Standards on Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

    - Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls;
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management;
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern; and
- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation;

12. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

13. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

14. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matter

15. The standalone financial statements of the Company for the year ended 31 March 2020 were audited by the predecessor auditor, BSR & Co LLP, who have expressed an unmodified opinion on those standalone financial statements vide their audit report dated 02 June 2020.

Report on Other Legal and Regulatory Requirements

16. As required by Section 197(16) of the Act, based on our audit, we report that the Company has paid remuneration to its directors during the year in accordance with the provisions of and limits laid down under Section 197 read with Schedule V to the Act.

17. As required by the Companies (Auditor's Report) Order, 2016 ('the Order') issued by the Central Government of India in terms of Section 143(11) of the Act, we give in the Annexure I a statement on the matters specified in paragraphs 3 and 4 of the Order.

18. Further to our comments in Annexure I, as required by Section 143(3) of the Act, based on our audit, we report, to the extent applicable, that:

    a) we have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit of the accompanying standalone financial statements;

    b) in our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books;

    c) the standalone financial statements dealt with by this report are in agreement with the books of account;

d) in our opinion, the aforesaid standalone financial statements comply with Ind AS specified under Section 133 of the Act;

e) on the basis of the written representations received from the directors and taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2021 from being appointed as a director in terms of Section 164(2) of the Act;

f) we have also audited the internal financial controls with reference to standalone financial statements of the Company as on 31 March 2021 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date and our report dated 27 April 2021 as per Annexure II expressed an unmodified opinion; and

g) with respect to the other matters to be included in the Auditor's Report in accordance with rule 11 of the Companies (Audit and Auditors) Rules, 2014 (as amended), in our opinion and to the best of our information and according to the explanations given to us:

i. the Company, as detailed in note 25 and 36 to the standalone financial statements, has disclosed the impact of pending litigations on its financial position as at 31 March 2021;

ii. the Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses as at 31 March 2021;

iii. there has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company during the year ended 31 March 2021; and

iv. the disclosure requirements relating to holdings as well as dealings in specified bank notes were applicable for the period from 8 November 2016 to 30 December 2016, which are not relevant to these standalone financial statements. Hence, reporting under this clause is not applicable.

For Walker Chandiok & Co LLP
Chartered Accountants
Firm's Registration No.: 001076N/N500013

Aasheesh Arjun Singh
Partner
Membership No.: 210122
UDIN: 21210122AAAABE8939

Bengaluru
27 April 2021

ANNEXURE I TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE TO THE MEMBERS OF BRITANNIA INDUSTRIES LIMITED, ON THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2021

Based on the audit procedures performed for the purpose of reporting a true and fair view on the standalone financial statements of the Company and taking into consideration the information and explanations given to us and the books of account and other records examined by us in the normal course of audit, and to the best of our knowledge and belief, we report that:

(i) (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.

(b) The Company has a regular program of physical verification of its fixed assets under which fixed assets are verified in a phased manner over a period of three years, which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. In accordance with this program, certain fixed assets were verified during the year and no material discrepancies were noticed on such verification.

(c) The title deeds of all the immovable properties (which are included under the head 'Property, plant and equipment') are held in the name of the Company.

(ii) In our opinion, the management has conducted physical verification of inventory at reasonable intervals during the year, except for goods-in-transit and no material discrepancies between physical inventory and book records were noticed on physical verification.

(iii) The Company has granted unsecured interest loans to companies covered in the register maintained under Section 189 of the Act; and with respect to the same:

(a) in our opinion the terms and conditions of grant of such loans are not, prima facie, prejudicial to the company's interest;

(b) the schedule of repayment of principal and payment of interest has been stipulated and the repayment/receipts of the principal amount and the interest are regular; and

(c) there is no overdue amount in respect of loans granted to such companies.

(iv) In our opinion, the Company has complied with the provisions of Section 186 in respect of loans, investments, guarantees and security. Further, in our opinion, the Company has not entered into any transaction covered under Section 185 of the Act in respect of loans, guarantees and security.

(v) In our opinion, the Company has not accepted any deposits within the meaning of Sections 73 to 76 of the Act and the Companies (Acceptance of Deposits) Rules, 2014 (as amended). Accordingly, the provisions of clause 3(v) of the Order are not applicable.

(vi) The Central Government has not specified maintenance of cost records under sub-section (1) of Section 148 of the Act, in respect of Company's products. Accordingly, the provisions of clause 3(vi) of the Order are not applicable.

(vii) (a) The Company is regular in depositing undisputed statutory dues including provident fund, employees' state insurance, income-tax, sales-tax, service tax, goods and service tax, duty of customs, duty of excise, value added tax, cess and other material statutory dues, as applicable, to the appropriate authorities. Further, no undisputed amounts payable in respect thereof were outstanding at the year-end for a period of more than six months from the date they become payable.

(b) The dues outstanding in respect of income-tax, sales-tax, service-tax, goods and service tax, duty of customs, duty of excise and value added tax on account of any dispute, are as follows:

Nature of dues	Name of the statute	Amount* (₹)	Amount paid under Protest (₹)	Period to which the amount relates	Forum where dispute is pending
Income Tax	Income Tax Act,1961	28.91	-	1992-2014	High Court
Income Tax	Income Tax Act,1961	15.66	-	1991-2015	Income Tax Appellate Tribunal
Income Tax	Income Tax Act,1961	112.09	-	2012-2019	Appellate authority upto Commissioner Level
Excise Duty	Central Excise Act, 1944	2.68	-	1980-1989	High Court
Service Tax	The Finance Act,1994	1.91	-	2006-2018	Appellate Authority up to Commissioner's level
Goods and Service Tax	Central Goods and Service Tax Act, 2017	0.05	-	2017-18	Appellate Authority up to Commissioner's level
Custom duty	The Customs Act,1962	0.52	0.01	2004-05	Appellate authority upto Commissioner Level-Customs
Sales tax/Value added tax	The Central Sales Tax Act, 1956 / Value added tax acts of various states	0.90	-	1998-2001	Supreme Court of India
Sales tax/Value added tax	The Central Sales Tax Act, 1956 / Value added tax acts of various states	64.76	1.60	2000-2017	High Court
Sales tax/Value added tax	The Central Sales Tax Act, 1956 / Value added tax acts of various states	4.06	1.53	1996-2009	Tribunal
Sales tax/Value added tax	The Central Sales Tax Act, 1956 / Value added tax acts of various states	89.19	8.78	1999-2019	Appellate Authority up to Commissioner's level

(viii) The Company has not defaulted in repayment of loans or borrowings to any banks or dues to debenture holders during the year. The Company does not have any loans or borrowings from financial institution and government during the year.

(ix) The Company did not raise moneys by way of initial public offer or further public offer (including debt instruments) and did not have any term loans outstanding during the year. Accordingly, the provisions of clause 3(ix) of the Order are not applicable.

(x) No fraud by the Company or on the company by its officers or employees has been noticed or reported during the period covered by our audit.

(xi) Managerial remuneration has been paid (and)/ provided by the company in accordance with the requisite approvals mandated by the provisions of Section 197 of the Act read with Schedule V to the Act.

(xii) In our opinion, the Company is not a Nidhi Company. Accordingly, provisions of clause 3(xii) of the Order are not applicable.

(xiii) In our opinion all transactions with the related parties are in compliance with Sections 177 and 188 of the Act, where applicable, and the requisite details have been disclosed in the standalone financial statements etc., as required by the applicable Ind AS.

(xiv) During the year, the company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures.

(xv) In our opinion, the company has not entered into any non-cash transactions with the directors or persons connected with them covered under Section 192 of the Act.

(xvi) The company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934.

For Walker Chandiok & Co LLP
Chartered Accountants
Firm's Registration No.: 001076N/N500013

Aasheesh Arjun Singh
Partner
Membership No.: 210122
UDIN: 21210122AAAABE8939

Bengaluru
27 April 2021

ANNEXURE II TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE TO THE MEMBERS OF BRITANNIA INDUSTRIES LIMITED, ON THE STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 MARCH 2021

Independent Auditor's Report on the internal financial controls with reference to the standalone financial statements under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ('the Act')

1. In conjunction with our audit of the standalone financial statements of Britannia Industries Limited ('the Company') as at and for the year ended 31 March 2021, we have audited the internal financial controls with reference to financial statements of the Company as at that date.

Responsibilities of Management and Those Charged with Governance for Internal Financial Controls

2. The Company's Board of Directors is responsible for establishing and maintaining internal financial controls based on the internal financial controls with reference to standalone financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of the Company's business, including adherence to the Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility for the Audit of the Internal Financial Controls with Reference to Standalone Financial Statements

3. Our responsibility is to express an opinion on the Company's internal financial controls with reference to standalone financial statements based on our audit. We conducted our audit in accordance with the Standards on Auditing issued by the Institute of Chartered Accountants of India ('ICAI') prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements, and the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting ('the Guidance Note') issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to standalone financial statements were established and maintained and if such controls operated effectively in all material respects.

4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to standalone financial statements and their operating effectiveness. Our audit of internal financial controls with reference to standalone financial statements includes obtaining an understanding of such internal financial controls, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

5. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to standalone financial statements.

Meaning of Internal Financial Controls with Reference to Standalone Financial Statements

6. A company's internal financial controls with reference to standalone financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of standalone financial statements for external purposes in accordance with generally accepted accounting principles.

A company's internal financial controls with reference to standalone financial statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide

reasonable assurance that transactions are recorded as necessary to permit preparation of standalone financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the standalone financial statements.

Inherent Limitations of Internal Financial Controls with Reference to Standalone Financial Statements

7. Because of the inherent limitations of internal financial controls with reference to standalone financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to standalone financial statements to future periods are subject to the risk that the internal financial controls with reference to standalone financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to standalone financial statements and such controls were operating effectively as at 31 March 2021, based on the internal financial controls with reference to standalone financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India.

For Walker Chandiok & Co LLP
Chartered Accountants
Firm's Registration No.: 001076N/N500013

Aasheesh Arjun Singh
Partner
Membership No.: 210122
UDIN: 21210122AAAABE8939

Bengaluru
27 April 2021

STANDALONE BALANCE SHEET

₹ in Crores

As at		Note	31 March 2021	31 March 2020
I	**Assets**			
(1)	**Non-current assets**			
	(a) Property, plant and equipment	4	1,360.02	1,416.02
	(b) Capital work-in-progress	4	111.66	38.92
	(c) Investment property	5	35.28	36.14
	(d) Intangible assets	6	8.54	8.37
	(e) Financial assets			
	(i) Investments	7	1,657.16	2,259.11
	(ii) Loans receivable	8	70.73	192.03
	(iii) Other financial assets	9	0.88	1.20
	(f) Income-tax assets, (net)	35	55.68	59.31
	(g) Other non-current assets	10	101.13	37.09
	Total non-current assets		**3,401.08**	**4,048.19**
(2)	**Current assets**			
	(a) Inventories	11	991.28	633.53
	(b) Financial assets			
	(i) Investments	12	1,292.96	882.06
	(ii) Trade receivables	13	198.36	242.23
	(iii) Cash and cash equivalents	14	77.58	21.76
	(iv) Bank balances other than (iii) above	14	33.22	17.40
	(v) Loans receivable	15	946.09	1,075.73
	(vi) Other financial assets	16	383.50	227.88
	(c) Other current assets	17	91.94	104.56
	Total current assets		**4,014.93**	**3,205.15**
	Total assets		**7,416.01**	**7,253.34**
II	**Equity and liabilities**			
(1)	**Equity**			
	(a) Equity share capital	18	24.09	24.05
	(b) Other equity	19	3,295.44	4,250.60
	Total equity		**3,319.53**	**4,274.65**
(2)	**Liabilities**			
(A)	**Non-current liabilities**			
	(a) Financial liabilities			
	(i) Borrowings	20	721.55	722.13
	(ii) Other financial liabilities	21	39.32	30.53
	(b) Deferred tax liabilities, (net)	35	7.85	10.97
	Total non-current liabilities		**768.72**	**763.63**
(B)	**Current liabilities**			
	(a) Financial liabilities			
	(i) Borrowings	20	1,075.70	479.99
	(ii) Trade payables	22		
	(a) total outstanding dues of micro enterprises and small enterprises		28.44	8.53
	(b) total outstanding dues of creditors other than micro enterprises and small enterprises		1,162.65	878.17
	(iii) Other financial liabilities	23	505.28	414.63
	(b) Other current liabilities	24	128.36	138.13
	(c) Provisions	25	365.63	251.98
	(d) Current tax liabilities, (net)	35	61.70	43.63
	Total current liabilities		**3,327.76**	**2,215.06**
	Total liabilities		**4,096.48**	**2,978.69**
	Total equity and liabilities		**7,416.01**	**7,253.34**
Significant accounting policies		3		

See accompanying notes to the standalone financial statements

As per our report of even date attached

for **Walker Chandiok & Co LLP**
Chartered Accountants
ICAI Firm registration number: 001076N/N500013

Aasheesh Arjun Singh
Partner
Membership number: 210122

Place: Bengaluru
Date : 27 April 2021

for **and on behalf of the Board of Directors**

Nusli N Wadia
Chairman
(DIN:00015731)

Varun Berry
Managing Director
(DIN:05208062)

N.Venkataraman
Chief Financial Officer

T.V.Thulsidass
Company Secretary
(Membership number:A20927)

Place: Bengaluru
Date : 27 April 2021

STANDALONE STATEMENT OF PROFIT AND LOSS

₹ in Crores

For the year ended		Note	31 March 2021	31 March 2020
I	**Revenue from operations**			
	Sale of goods / Income from operations	26	12,113.65	10,820.57
	Other operating revenues	26	265.18	166.11
			12,378.83	**10,986.68**
II	**Other income**	27	292.70	335.43
III	**Total Income (I+II)**		**12,671.53**	**11,322.11**
IV	**Expenses:**			
	Cost of materials consumed	28	5,509.69	5,052.67
	Purchases of stock-in-trade	29	1,908.50	1,543.55
	Changes in inventories of finished goods, work-in-progress and stock-in-trade	30	(43.22)	61.51
	Employee benefits expense	31	402.85	368.87
	Finance costs	32	97.81	65.17
	Depreciation and amortisation expense	4, 5, 6	166.77	151.69
	Other expenses	33	2,249.69	2,189.39
	Total expenses		**10,292.09**	**9,432.85**
V	**Profit before exceptional items and tax (III-IV)**		**2,379.44**	**1,889.26**
VI	**Exceptional items [(Income)/Expense]**	34	-	**(19.00)**
VII	**Profit before tax (V-VI)**		**2,379.44**	**1,908.26**
VIII	**Tax expense:**			
	(i) Current tax	35	622.53	416.86
	(ii) Deferred tax	35	(3.12)	7.10
			619.41	**423.96**
IX	**Profit for the year (VII-VIII)**		**1,760.03**	**1,484.30**
X	**Other comprehensive income**			
	Items that will not be reclassified subsequently to statement of profit or loss			
	Remeasurements of the net defined benefit (liability)/asset		3.27	(5.90)
	Income-tax relating to items not to be reclassified subsequently to statement of profit or loss		(0.85)	1.31
	Other comprehensive income, net of tax		**2.42**	**(4.59)**
XI	**Total comprehensive income for the year (IX+X)**		**1,762.45**	**1,479.71**
	Earnings per share (face value of ₹ 1 each)	42		
	Basic [in ₹]		73.12	61.75
	Diluted [in ₹]		73.09	61.73
	Weighted average number of equity shares used in computing earnings per share:			
	- Basic		240,716,747	240,379,360
	- Diluted		240,800,190	240,438,381
Significant accounting policies		3		

See accompanying notes to the standalone financial statements

As per our report of even date attached

for **Walker Chandiok & Co LLP**
Chartered Accountants
ICAI Firm registration number: 001076N/N500013

Aasheesh Arjun Singh
Partner
Membership number: 210122

Place: Bengaluru
Date : 27 April 2021

for **and on behalf of the Board of Directors**

Nusli N Wadia
Chairman
(DIN:00015731)

Varun Berry
Managing Director
(DIN:05208062)

N.Venkataraman
Chief Financial Officer

T.V.Thulsidass
Company Secretary
(Membership number:A20927)

Place: Bengaluru
Date : 27 April 2021

STANDALONE STATEMENT OF CHANGES IN EQUITY

₹ in Crores

Particulars	Equity share capital	Other equity							Other comprehensive income		Total equity attributable to equity holders of the Company
		Surplus									
		Securities premium	Retained earnings	Capital reserve	Capital redemption reserve	Debenture redemption reserve	General reserve	Share options outstanding account	Equity instruments through OCI	Other items of OCI	
Balance as at 1 April 2019	24.03	85.57	3,163.18	0.43	3.96	-	745.31	19.93	-	(2.96)	4,039.45
Changes in equity for the year ended 31 March 2020											
Increase in share capital on exercise of employee stock options	0.02	-	-	-	-	-	-	-	-	-	0.02
Share based payment [Refer note 31]	-	-	-	-	-	-	-	21.58	-	-	21.58
Transfer to general reserve	-	-	(148.43)	-	-	-	-	-	-	-	(148.43)
Transfer from retained earnings	-	-	-	-	-	-	148.43	-	-	-	148.43
Transfer to securities premium on issue of equity shares	-	23.95	-	-	-	-	-	-	-	-	23.95
Transfer to Debenture redemption reserve on issue of bonus debentures	-	-	(180.24)	-	-	180.24	-	-	-	-	-
Transfer to securities premium from share options outstanding account	-	7.10	-	-	-	-	-	(7.10)	-	-	-
Dividends (including dividend distribution tax)	-	-	(422.27)	-	-	-	-	-	-	-	(422.27)
Issue of bonus debentures (including dividend distribution tax)	-	-	(867.79)	-	-	-	-	-	-	-	(867.79)
Remeasurement of the net defined benefit (liability)/asset, net of tax effect	-	-	-	-	-	-	-	-	-	(4.59)	(4.59)
Profit for the year	-	-	1,484.30	-	-	-	-	-	-	-	1,484.30
Balance as at 31 March 2020	24.05	116.62	3,028.75	0.43	3.96	180.24	893.74	34.41	-	(7.55)	4,274.65

Particulars	Equity share capital	Other equity							Other comprehensive income		Total equity attributable to equity holders of the Company
		Surplus									
		Securities premium	Retained earnings	Capital reserve	Capital redemption reserve	Debenture redemption reserve	General reserve	Share options outstanding account	Equity instruments through OCI	Other items of OCI	
Balance as at 1 April 2020	24.05	116.62	3,028.75	0.43	3.96	180.24	893.74	34.41	-	(7.55)	4,274.65
Changes in equity for the year ended 31 March 2021											
Increase in share capital on exercise of employee stock options	0.04	-	-	-	-	-	-	-	-	-	0.04
Share based payment [Refer note 31]	-	-	-	-	-	-	-	18.94	-	-	18.94
Transfer to securities premium on issue of equity shares	-	103.11	-	-	-	-	-	-	-	-	103.11
Transfer to securities premium from share options outstanding account	-	25.25	-	-	-	-	-	(25.25)	-	-	-
Dividends	-	-	(2,839.66)	-	-	-	-	-	-	-	(2,839.66)
Remeasurement of the net defined benefit (liability)/asset, net of tax effect	-	-	-	-	-	-	-	-	-	2.42	2.42
Profit for the year	-	-	1,760.03	-	-	-	-	-	-	-	1,760.03
Balance as at 31 March 2021	24.09	244.98	1,949.12	0.43	3.96	180.24	893.74	28.10	-	(5.13)	3,319.53

See accompanying notes to the standalone financial statements
As per our report of even date attached

for **Walker Chandiok & Co LLP**
Chartered Accountants
ICAI Firm registration number: 001076N/N500013

Aasheesh Arjun Singh
Partner
Membership number: 210122

Place: Bengaluru
Date : 27 April 2021

for **and on behalf of the Board of Directors**

Nusli N Wadia
Chairman
(DIN:00015731)

Varun Berry
Managing Director
(DIN:05208062)

N.Venkataraman
Chief Financial Officer

T.V.Thulsidass
Company Secretary
(Membership number:A20927)

Place: Bengaluru
Date : 27 April 2021

STANDALONE STATEMENT OF CASH FLOW

₹ in Crores

For the year ended	31 March 2021	31 March 2020
Cash flow from operating activities		
Profit before tax	2,379.44	1,908.26
Adjustments for :		
Depreciation and amortisation expense	166.77	151.69
Share based payment expense	18.94	21.58
Net gain on financial asset measured at fair value through statement of profit and loss	(60.75)	(81.42)
(Profit) / Loss on sale of property, plant and equipment	(0.09)	(0.17)
Reversal of provision for diminution in value of investment,net (Refer note 34)	-	(19.00)
Dividend income	-	(66.47)
Interest income	(219.52)	(168.67)
Finance costs	97.81	65.17
	2,382.60	**1,810.97**
Changes in		
Inventories	(357.75)	85.36
Trade receivables	43.87	108.73
Loans receivable, other financial assets, other bank balances and other assets	(167.61)	(30.26)
Accounts payables, other financial liabilities, other liabilities and provisions	478.84	157.18
Cash generated from operating activities	**2,379.95**	**2,131.98**
Income-tax paid, net of refund	(601.68)	(472.30)
Net cash generated from operating activities	**1,778.27**	**1,659.68**
Cash flow from investing activities		
Acquisition of property, plant and equipment and intangible assets	(230.12)	(225.05)
Proceeds from sale of property, plant and equipment	0.28	0.68
Sale / (Purchase) of investments, net	272.80	(1,363.65)
Investment in subsidiaries, net	(21.00)	(31.43)
Inter- corporate deposits placed	(1,193.00)	(1,252.00)
Inter-corporate deposits redeemed	1,441.00	1,122.00
Interest received	230.68	114.64
Dividend received	-	66.47
Net cash generated from / (used in) investing activities	**500.64**	**(1,568.34)**
Cash flow from financing activities		
Interest paid	(88.14)	(24.93)
Proceeds from share allotment	103.15	23.97
Principal payment of lease liabilities	(0.81)	(0.44)
Interest paid on lease liabilities	(0.33)	(0.18)
Issue of bonus debentures	-	720.95
Proceeds from borrowings, net*	587.04	474.40
Dividends paid (including dividend distribution tax)	(2,823.75)	(420.23)
Payment of bonus debentures (including dividend distribution tax)	-	(867.79)
Net cash used in financing activities	**(2,222.84)**	**(94.25)**
Net change in cash and cash equivalents	**56.07**	**(2.91)**
Cash and cash equivalents at beginning of the year	20.22	23.13
Cash and cash equivalents at end of the year (net of bank overdraft)	**76.29**	**20.22**

STANDALONE STATEMENT OF CASH FLOW

₹ in Crores

For the year ended	31 March 2021	31 March 2020
Note:		
Cash and cash equivalents at the end of the year [Refer note 14]	77.58	21.76
Bank overdraft [Refer note 20]	(1.29)	(1.54)
	76.29	**20.22**
Debt reconciliation statement in accordance with Ind AS 7		
Current borrowings		
Opening balance	479.99	-
Proceeds from borrowings, net	587.59	474.26
Non-cash change (fair value)	8.12	5.73
Closing balance	**1,075.70**	**479.99**
Non - current borrowings and Certain components of other financial liabilities		
Opening balance	723.93	1.74
Proceeds from borrowings, net	(1.61)	722.19
Closing balance	**722.32**	**723.93**

* Bank Overdraft amounting to ₹ 1.29 (31 March 2020 ₹ 1.54) is shown under cash and cash equivalent as per requirement of Ind AS 7, hence proceeds from borrowings under financing activity is excluding the movement in bank overdraft.

Significant accounting policies [Refer note 3]

See accompanying notes to the standalone financial statements

As per our report of even date attached

for **Walker Chandiok & Co LLP**
Chartered Accountants
ICAI Firm registration number: 001076N/N500013

Aasheesh Arjun Singh
Partner
Membership number: 210122

Place: Bengaluru
Date : 27 April 2021

for **and on behalf of the Board of Directors**

Nusli N Wadia
Chairman
(DIN:00015731)

Varun Berry
Managing Director
(DIN:05208062)

N.Venkataraman
Chief Financial Officer

T.V.Thulsidass
Company Secretary
(Membership number:A20927)

Place: Bengaluru
Date : 27 April 2021

NOTES TO STANDALONE FINANCIAL STATEMENTS

1 Reporting entity

Britannia Industries Limited (the 'Company') is a company domiciled in India, with its registered office situated at 5/1A, Hungerford Street, Kolkata, West Bengal - 700017. The Company has been incorporated under the provisions of Indian Companies Act and its equity shares are listed on the National Stock Exchange (NSE) and the Bombay Stock Exchange (BSE) in India. The Company is primarily involved in manufacturing and sale of various food products.

2 Basis of preparation

A. Statement of compliance

The financial statements of the Company have been prepared in accordance with Indian Accounting Standards (Ind AS) as per the Companies (Indian Accounting Standards) Rules 2015, as amended, notified under Section 133 of Companies Act, 2013, (the 'Act') and other relevant provisions of the Act.

The standalone financial statements were authorised for issue by the Company's Board of Directors on 27 April 2021.

Details of the Company's accounting policies are included in Note 3.

B. Functional and presentation currency

These standalone financial statements are presented in Indian Rupees (₹), which is also the Company's functional currency. All amounts have been rounded-off to two decimal places to the nearest crores, unless otherwise indicated.

C. Basis of measurement

The standalone financial statements have been prepared on the historical cost basis except for the following items:

Items	Measurement basis
Certain financial assets and liabilities	Fair value
Share-based payments	Fair value
Net defined benefit asset/(liability)	Fair value of plan assets less present value of defined benefit obligations

D. Use of estimates and judgements

In preparing these standalone financial statements, the Company has made judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively.

Judgements

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognised in the standalone financial statements is included in the following notes:

- Note 37 - leases: whether an arrangement contains a lease and lease classification

Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the year ending 31 March 2021 is included in the following notes:

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

- Note 46 - measurement of defined benefit obligations: key actuarial assumptions;
- Note 41 - recognition and measurement of provisions and contingencies: key assumptions about the likelihood and magnitude of an outflow of resources;
- Note 4 - useful life of property, plant and equipment
- Notes 7 to 9 and Notes 12,13,15 and 16 - impairment of financial assets.

E. Measurement of fair values

Certain accounting policies and disclosures of the Company require the measurement of fair values, for both financial and non financial assets and liabilities.

The Company has an established control framework with respect to the measurement of fair values.

The valuation team regularly reviews significant unobservable inputs and valuation adjustments.

Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

When measuring the fair value of an asset or a liability, the Company uses observable market data as far as possible. If the inputs used to measure the fair value of an asset or a liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Company recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

Further information about the assumptions made in the measuring fair values is included in the following notes:

- Note 5 - investment property
- Note 18 (d) - share-based payments
- Note 54 - financial instruments.

3. Significant accounting policies

(a) Property, plant and equipment

i. Recognition and measurement

Items of property, plant and equipment, are measured at cost (which includes capitalised borrowing costs, if any) less accumulated depreciation and accumulated impairment losses, if any.

Cost of an item of property, plant and equipment includes its purchase price, duties, taxes, after deducting trade discounts and rebates, any directly attributable cost of bringing the item to its working condition for its intended use and estimated costs of dismantling and removing the item and restoring the site on which it is located.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

The cost of a self-constructed item of property, plant and equipment comprises the cost of materials, direct labour and any other costs directly attributable to bringing the item to its intended working condition and estimated costs of dismantling, removing and restoring the site on which it is located, wherever applicable.

If significant parts of an item of property, plant and equipment have different useful lives, then they are accounted for as separate items (major components) of property, plant and equipment.

Any gain or loss on disposal of an item of property, plant and equipment is recognised in the Statement of Profit and Loss.

ii. Subsequent expenditure

Subsequent expenditure is capitalised only if it is probable that the future economic benefits associated with the expenditure will flow to the Company.

iii. Depreciation

Depreciation is calculated on cost of items of property, plant and equipment less their estimated residual value using straight line method over the useful lives of assets estimated by the Company based on an internal technical evaluation performed by the Company and is recognised in the Statement of Profit and Loss. Assets acquired under lease are depreciated over the shorter of the lease term and their useful lives unless it is reasonably certain that the Company will obtain ownership by the end of the lease term. Depreciation for assets purchased / sold during the period is proportionately charged.

The range of estimated useful lives of items of property, plant and equipment are as follows:

Asset	Useful life
Plant and equipment	7.5 - 15 years
Furniture and fixtures	10 years
Motor vehicles	8 years
Office equipment	3 - 5 years
Buildings	30 - 60 years
Leasehold land	Lease period

Freehold land is not depreciated.

The residual values, useful lives and methods of depreciation of property, plant and equipment are reviewed at each financial year-end and adjusted prospectively, if appropriate.

iv. Reclassification to investment property

When the use of a property changes from owner-occupied to investment property, the property is reclassified as investment property at its carrying amount on the date of classification.

v. Capital work-in-progress

Capital work-in-progress includes cost of property, plant and equipment/ intangible assets under installation / under development as at the balance sheet date.

(b) Investment property

Investment property is property held either to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes. Upon initial recognition, an investment property is measured at cost. Subsequent to initial recognition, investment property is measured at cost less accumulated depreciation and accumulated impairment losses, if any.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

The Company depreciates investment properties on a straight-line basis over the useful life of the asset as specified in the table above.

Any gain or loss on disposal of an investment property is recognised in the Statement of Profit and Loss.

The fair values of investment property is disclosed in the notes acccompanying these financial statements. Fair values are determined by an independent valuer who holds recognised and relevant professional qualification and has recent experience in the location and category of the investment property being valued.

(c) Intangible assets

Internally generated: Research and development

Expenditure on research activities is recognised in the Statement of Profit and Loss as incurred.

Development expenditure is capitalised as part of the cost of the resulting intangible asset only if the expenditure can be measured reliably, the product or process is technically and commercially feasible, future economic benefits are probable, and the Company intends to and has sufficient resources to complete the development and to use or sell the asset. Otherwise, it is recognised in the Statement of Profit and Loss as incurred. Subsequent to initial recognition, the asset is measured at cost less accumulated amortisation and accumulated impairment losses, if any.

Others

Other intangible assets including those acquired by the Company in a business combination are initially measured at cost. Such intangible assets are subsequently measured at cost less accumulated amortisation and accumulated impairment losses, if any.

Amortisation

Amortisation is calculated to write off the cost of intangible assets less their estimated residual values over their estimated useful lives using the straight- line method, and is included in depreciation and amortisation in Statement of Profit and Loss.

The estimated useful lives are as follows:

Asset	Useful life
Computer software	6 years

Amortisation method, useful lives and residual values are reviewed at the end of each financial year and adjusted if appropriate.

(d) Impairment

(i) Financial assets

The Company recognises loss allowances using the expected credit loss (ECL) model for the financial assets which are not fair valued through Statement of Profit and Loss. Loss allowance for trade receivables with no significant financing component is measured at an amount equal to lifetime ECL. For all other financial assets, expected credit losses are measured at an amount equal to the 12-month ECL, unless there has been a significant increase in credit risk from initial recognition in which case those are measured at lifetime ECL. The amount of expected credit losses (or reversal) that is required to adjust the loss allowance at the reporting date to the amount that is required to be recognised is recognised as an impairment gain or loss in the Statement of Profit and Loss.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

(ii) Non -financial assets

Intangible assets and property, plant and equipment

Intangible assets and property, plant and equipment are evaluated for recoverability whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. For the purpose of impairment testing, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generated units to which the asset belongs. If such assets are considered to be impaired, the impairment to be recognised in the Statement of Profit and Loss is measured by the amount by which the carrying value of the assets exceeds the estimated recoverable amount of the asset. An impairment loss is reversed in the Statement of Profit and Loss if there has been a change in the estimates used to determine the recoverable amount. The carrying amount of the asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated amortisation or depreciation) had no impairment loss been recognised for the asset in prior years.

(e) Leases

Effective 1 April 2019, the Company has applied Ind AS 116, which replaces the erstwhile lease standard, Ind AS 17 Leases and other interpretations. The Company at the inception of a contract, assesses whether a contract, is or contains a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. Ind AS 116 introduces a single balance sheet lease accounting model for lessees. A lessee recognises a Right-of-use asset representing its right to use the underlying asset and a lease liability representing its obligation to make lease payments. The Company does not recognise right-of-use of assets and lease liabilities for short term leases that have a lease term of 12 months or less and leases of low value assets. The Company recognises the lease payments associated with these leases as an expense on a straight line basis over the lease term. Lessor accounting remains similar to the accounting under the previous standard i.e. lessor continues to classify leases as finance or operating lease. This policy is applied to contracts entered into, or changed, on or after 1 April 2019. For contracts entered into before 1 April 2019, the determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at the inception of the lease. The arrangement is, or contains, a lease if fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset or assets, even if that right is not explicitly specified in an arrangement.

As a lessee

The Company recognises a right-of-use asset and a lease liability at the lease commencement date. The right of use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct cost incurred and an estimate of cost to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received. The right-of-use asset is subsequently depreciated using the straight line method from the commencement date to the earlier of the end of the useful life or the end of the lease term. The estimated useful life of the right-of-use assets are determined on the same basis as those of property, plant and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability. The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Company's incremental borrowing rate. The lease payments shall include fixed payments, variable lease payments, residual value guarantees, exercise price of a purchase option where the Company

is reasonably certain to exercise that option and payment of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to terminate the lease. Subsequent to initial measurement, the liability is reduced for payments made and increased for interest. It is remeasured to reflect any reassessment or modification, or if there are changes in in-substance fixed payments. When the lease liability is remeasured, the corresponding adjustment is reflected in the right-of-use asset, or profit and loss if the right-of-use asset is already reduced to zero. On the Balance Sheet, right-of-use assets have been included under property, plant and equipment and lease liabilities have been included under borrowings & other financial liabilities.

As a lessor

Lease income from operating leases, where the Company is a lessor, is recognised on a straight-line basis over the lease term unless the receipts are structured to increase in line with expected general inflation to compensate for the expected inflation.

(f) Inventories

Inventories are valued at the lower of cost (including prime cost, non-refundable taxes and duties and other overheads incurred in bringing the inventories to their present location and condition) and estimated net realisable value, after providing for obsolescence, where appropriate. The comparison of cost and net realisable value is made on an item-by-item basis. The net realisable value of materials in process is determined with reference to the selling prices of related finished goods. Raw materials, packing materials and other supplies held for use in production of inventories are not written down below cost except in cases where material prices have declined, and it is estimated that the cost of the finished products will exceed their net realisable value.

The provision for inventory obsolescence is assessed regularly based on estimated usage and shelf life of products.

Raw materials, packing materials and stores and spares are valued at cost computed on moving weighted average basis. The cost includes purchase price, inward freight and other incidental expenses net of refundable duties, levies and taxes, where applicable.

Work-in-progress is valued at input material cost plus conversion cost as applicable.

Finished goods and stock-in-trade are valued at the lower of net realisable value and cost (including prime cost, non-refundable taxes and duties and other overheads incurred in bringing the inventories to their present location and condition), computed on a moving weighted average basis.

(g) Financial instruments

i. Recognition and initial measurement

The Company initially recognises financial assets and financial liabilities when it becomes a party to the contractual provisions of the instrument. All financial assets and liabilities are measured at fair value on initial recognition. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities, that are not at fair value through profit or loss, are added to the fair value on initial recognition.

ii. Classification and subsequent measurement

Financial assets

Financial assets carried at amortised cost

A financial asset is subsequently measured at amortised cost if it is held within a business model whose objective is to hold the asset in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

Financial assets at fair value through other comprehensive income

A financial asset is subsequently measured at fair value through other comprehensive income if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at fair value through profit or loss

A financial asset which is not classified in any of the above categories are subsequently fair valued through profit or loss.

Financial liabilities

Financial liabilities are subsequently carried at amortised cost using the effective interest method. For trade and other payables maturing within one year from the balance sheet date, the carrying amounts approximate fair value due to the short maturity of these instruments.

Investment in subsidiaries, joint venture and associates

Investment in equity shares in subsidiaries, joint venture and associates is carried at cost in the financial statements.

iii. Derecognition

Financial assets

The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the right to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial assets are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and does not retain control of the financial asset.

If the Company enters into transactions whereby it transfers assets recognised on its balance sheet, but retains either all or substantially all of the risks and rewards of the transferred assets, the transferred assets are not derecognised.

Financial liabilities

The Company derecognises a financial liability when its contractual obligations are discharged or cancelled, or expire.

The Company also derecognises a financial liability when its terms are modified and the cash flows under the modified terms are substantially different. In this case, a new financial liability based on the modified terms is recognised at fair value. The difference between the carrying amount of the financial liability extinguished and a new financial liability with modified terms is recognised in the Statement of Profit and Loss.

iv. Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the balance sheet when, and only when, the Company has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or realise the asset and settle the liability simultaneously.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

(h) Revenue recognition

The Company recognises revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. A 5-step approach is used to recognise revenue as below:

Step 1: Identify the contract(s) with a customer

Step 2: Identify the performance obligation in contract

Step 3: Determine the transaction price

Step 4: Allocate the transaction price to the performance obligations in the contract

Step 5: Recognise revenue when (or as) the entity satisfies a performance obligation"

(i) Sale of goods:

Revenue is recognised when a customer obtains control of the goods which is ordinarily upon delivery at the customer premises. Revenue is measured at fair value of the consideration received or receivable, after deduction of any trade discounts, volume rebates and any taxes or duties collected on behalf of the government which are levied on sales such as goods and services tax, etc. For certain contracts that permit the customer to return an item, revenue is recognised to the extent that it is probable that a significant reversal in the amount of cumulative revenue recognised will not occur. As a consequence, for those contracts for which the Company is unable to make a reasonable estimate of return, revenue is recognised when the return period lapses or a reasonable estimate can be made. A refund liability and an asset for recovery is recognised for these contracts and presented separately in the balance sheet.

(ii) Deferred revenue:

The Company has a customer loyalty programme for select customers. The Company grants credit points to those customers as part of a sales transaction which allows them to accumulate and redeem those credit points. The consideration is allocated between the loyalty programme and the goods based on their relative stand-alone selling prices. The credit points have been deferred and will be recognised as revenue when the reward points are redeemed or lapsed.

(iii) Income from royalties are recognised based on contractual agreements.

(iv) Dividend income is recognised when the Company's right to receive the payment is established, which is generally when shareholders approve the dividend.

(v) For all financial instruments measured at amortised cost, interest income is recorded using the effective interest rate (EIR), which is the rate that exactly discounts the estimated future cash payments or receipts over the expected life of the financial instrument or a shorter period, where appropriate, to the net carrying amount of the financial asset. Interest income is included in other income in the Statement of Profit and Loss.

(i) Business combination

Business combinations arising from transfers of interest in entities that are under the control of the shareholder who control the Company are accounted for as if the acquisition had occurred at the beginning of the earliest comparative period presented or, if later, at the date that common control was established; for this purpose comparatives are revised. The assets and liabilities acquired are recognised at their carrying amounts. The identity of the reserves is preserved and they appear in the financial statements of the Company in the same form in which they appeared in the financial statements of the acquired entity. The difference, if any, between the value of net assets and the consequent reduction in value of investment held by the Company is transferred to the capital reserve or to the accumulated balance of profit and loss.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

(j) Foreign currencies

Transactions in foreign currencies are initially recorded by the Company at their functional currency spot rates at the date of the transaction. Monetary assets and liabilities denominated in foreign currency are translated at the functional currency spot rates of exchange at the reporting date. Exchange differences that arise on settlement of monetary items or on reporting at each balance sheet date are recognised as income or expenses in the period in which they arise. Non-monetary items which are carried at historical cost denominated in a foreign currency are reported using the exchange rates at the date of transaction. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined.

(k) Government grants

Government grants are recognised where there is reasonable assurance that the grant will be received and all attached conditions will be complied with. When the grant relates to revenue, it is recognised in the Statement of Profit and Loss on a systematic basis over the periods to which they relate. When the grant relates to an asset, it is treated as deferred income and recognised in the Statement of Profit and Loss on a systematic basis over the useful life of the asset.

(l) Income tax

Income tax comprises current and deferred tax. It is recognised in the Statement of Profit and Loss except to the extent that it relates to a business combination or to an item recognised directly in equity or in other comprehensive income.

i. Current tax

Current tax comprises the expected tax payable or receivable on the taxable income or loss for the year and any adjustment to the tax payable or receivable in respect of previous years. The amount of current tax reflects the best estimate of the tax amount expected to be paid or received after considering the uncertainty, if any related to income taxes. It is measured using tax rates (and tax laws) enacted or substantively enacted by the reporting date.

ii. Deferred tax

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the corresponding amounts used for taxation purposes. Deferred tax is also recognised in respect of carried forward tax losses and tax credits. Deferred tax is not recognised for:

- temporary differences arising on the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss at the time of transaction.

- temporary differences related to investments in subsidiaries, associates and interests in joint ventures, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax assets are recognised to the extent that it is probable that future taxable profits will be available against which they can be used.

Deferred tax assets recognised or unrecognised are reviewed at each reporting date and are recognised / reduced to the extent that it is probable / no longer probable respectively that the related tax benefit will be realised.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

Deferred tax is measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on the laws that have been enacted or substantively enacted by the reporting date.

The measurement of deferred tax reflects the tax consequences that would follow from the manner in which the Company expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

The Company offsets, the current tax assets and liabilities (on a year on year basis) and deferred tax assets and liabilities, where it has a legally enforceable right and where it intends to settle such assets and liabilities on a net basis.

(m) Borrowing costs

Borrowing costs directly attributable to the acquisition or construction of those property, plant and equipment which necessarily takes a substantial period of time to get ready for their intended use are capitalised. All other borrowing costs are expensed in the period in which they incur in the Statement of Profit and Loss.

(n) Provisions and contingent liabilities

i. General

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. When the Company expects some or all of a provision to be reimbursed, the expense relating to a provision is presented in the Statement of Profit and Loss net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

ii. Contingent liabilities

A disclosure for contingent liabilities is made where there is a possible obligation or a present obligation that may probably not require an outflow of resources. When there is a possible or a present obligation where the likelihood of outflow of resources is remote, no provision or disclosure is made.

iii. Onerous contracts

Provision for onerous contracts. i.e. contracts where the expected unavoidable cost of meeting the obligations under the contract exceed the economic benefits expected to be received under it, are recognised when it is probable that an outflow of resources embodying economic benefits will be required to settle a present obligation as a result of an obligating event based on a reliable estimate of such obligation.

(o) Employee benefits

i. Short-term employee benefits

All employee benefits falling due wholly within twelve months of rendering the services are classified as short-term employee benefits, which include benefits like salaries, wages, short-term compensated absences and performance incentives and are recognised as expenses in the period in which the employee renders the related service.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

ii. Post-employment benefits

Contributions to defined contribution schemes such as Provident Fund, Pension Fund, etc., are recognised as expenses in the period in which the employee renders the related service. In respect of certain employees, Provident Fund contributions are made to a Trust administered by the Company. The interest rate payable to the members of the Trust shall not be lower than the statutory rate of interest declared by the Central Government under the Employees' Provident Funds and Miscellaneous Provisions Act, 1952 and shortfall, if any, after considering the accumulated reserves with the Trust, shall be made good by the Company. To this extent, the Provident Fund scheme could be considered as a defined benefit plan. In respect of contributions made to government administered Provident Fund, the Company has no further obligations beyond its monthly contributions. The Company also provides for post-employment defined benefit in the form of gratuity and medical benefits. The cost of providing benefit is determined using the projected unit credit method, with actuarial valuation being carried out at each balance sheet date. Remeasurement of the net benefit liability, which comprise actuarial gains and losses, the return on plan assets (excluding interests) and the effect of the assets ceiling (if any, excluding interest) are recognised in other comprehensive income. The effect of any plan amendments are recognised in net profit in the Statement of Profit and Loss.

The Britannia Industries Limited Covenanted Staff Pension Fund Trust ('BILCSPF') and Britannia Industries Limited Officers' Pension Fund Trust ('BILOPF') were established by the Company to administer pension schemes for its employees. These trusts are managed by the Trustees. The Pension Scheme is applicable to all the managers and officers of the Company who have been employed up to the date of 15 September 2005 and any manager or officer employed after that date, if he has opted for the membership of the Scheme. The Company makes a contribution of 15% of basic salary in respect of the members, each month to the trusts. On retirement, subject to the vesting conditions as per the rules of the trust, the member becomes eligible for pension, which is paid from annuity purchased in the name of the member by the trusts.

iii. Other long-term employee benefits

All employee benefits (other than post-employment benefits and termination benefits) which do not fall due wholly within twelve months after the end of the period in which the employees render the related services are determined based on actuarial valuation or discounted present value method carried out at each balance sheet date. The expected cost of accumulating compensated absences is determined by actuarial valuation performed by an independent actuary as at 1 January every year using projected unit credit method on the additional amount expected to be paid / availed as a result of the unused entitlement that has accumulated at the balance sheet date. Expense on non-accumulating compensated absences is recognised in the period in which the absences occur.

iv. Voluntary retirement scheme benefits

Voluntary retirement scheme benefits are recognised as an expense in the year they are incurred.

(p) Share-based payments

The cost of equity-settled transactions is determined by the fair value on the date when the grant is made using an appropriate valuation model. That cost is recognised in employee benefits expense, together with a corresponding increase in share-based payment (share options outstanding account) reserves in equity, over the period in which the performance and/or service conditions are fulfilled. The dilutive effect of outstanding options is reflected as additional share dilution in the computation of diluted earnings per share.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

(q) Cash and cash equivalents

Cash and cash equivalents includes cash on hand, cheques on hand and demand deposits with banks with original maturities of three months or less.

(r) Earnings per share

Basic Earnings Per Share ('EPS') is computed by dividing the net profit attributable to the equity shareholders by the weighted average number of equity shares outstanding during the year. Diluted earnings per share is computed by dividing the net profit by the weighted average number of equity shares considered for deriving basic earnings per share and also the weighted average number of equity shares that could have been issued upon conversion of all dilutive potential equity shares. Dilutive potential equity shares are deemed converted as of the beginning of the year, unless issued at a later date. In computing diluted earnings per share, only potential equity shares that are dilutive and that either reduces earnings per share or increases loss per share are included. The number of shares and potentially dilutive equity shares are adjusted retrospectively for all periods presented in case of share splits.

(s) Cash flow statement

Cash flows are reported using indirect method, whereby net profits before tax is adjusted for the effects of transactions of a non-cash nature and any deferrals or accruals of past or future cash receipts or payments and items of income or expenses associated with investing or financing cash flows. The cash flows from regular revenue generating (operating activities), investing and financing activities of the Company are segregated.

(t) Recent accounting pronouncements

On 24 March 2021, the Ministry of Corporate Affairs ("MCA") through a notification, amended Schedule III of the Companies Act, 2013. The amendments revise Division I, II and III of Schedule III and are applicable from 1 April 2021. Key amendments relating to Division II which relate to companies whose financial statements are required to comply with Companies (Indian Accounting Standards) Rules 2015 are:

Balance Sheet:

- Lease liabilities should be separately disclosed under the head 'financial liabilities', duly distinguished as current or non-current.
- Certain additional disclosures in the statement of changes in equity such as changes in equity share capital due to prior period errors and restated balances at the beginning of the current reporting period.
- Specified format for disclosure of shareholding of promoters.
- Specified format for ageing schedule of trade receivables, trade payables, capital work-in-progress and intangible asset under development.
- If a company has not used funds for the specific purpose for which it was borrowed from banks and financial institutions, then disclosure of details of where it has been used.
- Specific disclosure under 'additional regulatory requirement' such as compliance with approved schemes of arrangements, compliance with number of layers of companies, title deeds of immovable property not held in name of company, loans and advances to promoters, directors, key managerial personnel (KMP) and related parties, details of benami property held etc.

Statement of profit and loss:

- Additional disclosures relating to Corporate Social Responsibility (CSR), undisclosed income and crypto or virtual currency specified under the head 'additional information' in the notes forming part of standalone financial statements.

The amendments are extensive and the Company will evaluate the same to give effect to them as required by law.

Note 4 - Property, plant and equipment and capital work-in-progress

Reconciliation of carrying amount

₹ in Crores

Description		Gross carrying amount						Accumulated depreciation					Carrying amounts (net)
		As at 1 April 2020	Transition impact of Ind AS 116 (e)	Additions	Disposals	Adjustment	As at 31 March 2021	As at 1 April 2020	Depreciation for the year	Disposals	Adjustment	As at 31 March 2021	As at 31 March 2021
Own assets													
Freehold land		96.10	-	-	-	-	96.10	-	-	-	-	-	96.10
Buildings	(a)	574.90	-	14.52	0.02	-	589.40	62.59	20.15	0.02	-	82.72	506.68
Plant and equipment		1,071.35	-	74.40	5.08	2.29	1,142.96	452.51	131.52	4.90	-	579.13	563.83
Furniture and fixtures		26.15	-	0.51	0.06	-	26.60	10.52	2.58	0.05	-	13.05	13.55
Motor vehicles		1.26	-	-	-	-	1.26	0.76	0.16	-	-	0.92	0.34
Office equipment		32.24	-	5.96	0.03	-	38.17	23.94	5.47	0.03	-	29.38	8.79
Right of use assets													
Leasehold land	(b)	167.28	-	9.23	-	-	176.51	4.52	2.45	-	-	6.97	169.54
Motor vehicles	(d)	2.12	-	0.39	0.15	-	2.36	0.54	0.78	0.15	-	1.17	1.19
Total		1,971.40	-	105.01	5.34	2.29	2,073.36	555.38	163.11 (c)	5.15	-	713.34	1,360.02

Description		Gross carrying amount						Accumulated depreciation					Carrying amounts (net)
		As at 1 April 2019	Transition impact of Ind AS 116 (e)	Additions	Disposals	Adjustment	As at 31 March 2020	As at 1 April 2019	Depreciation for the year	Disposals	Adjustment	As at 31 March 2020	As at 31 March 2020
Own assets													
Freehold land		96.10	-	-	-	-	96.10	-	-	-	-	-	96.10
Buildings	(a)	536.08	-	38.82	-	-	574.90	43.46	19.13	-	-	62.59	512.31
Plant and equipment		891.29	-	184.26	4.20	-	1,071.35	337.78	118.62	3.89	-	452.51	618.84
Furniture and fixtures		25.58	-	0.59	0.02	-	26.15	7.97	2.56	0.01	-	10.52	15.63
Motor vehicles		1.22	-	0.04	-	-	1.26	0.60	0.16	-	-	0.76	0.50
Office equipment		29.27	-	2.98	0.01	-	32.24	18.53	5.42	0.01	-	23.94	8.30
Right of use assets													
Leasehold land	(b)	114.38	18.70	34.20	-	-	167.28	2.30	2.22	-	-	4.52	162.76
Motor vehicles	(d)	0.92	-	1.70	0.50	-	2.12	0.35	0.50	0.31	-	0.54	1.58
Total		1,694.84	18.70	262.59	4.73	-	1,971.40	410.99	148.6 (c)	4.22	-	555.38	1,416.02

₹ in Crores

Capital work-in-progress (f)

Particulars	31 March 2021	31 March 2020
Carrying amount		
Opening carrying amount	38.92	64.91
Additions	97.73	54.75
Assets capitalised	23.40	80.74
Adjustment	1.59	-
Closing carrying amount	**111.66**	**38.92**

Notes:

(a) Buildings include fully paid unquoted shares and bonds in respect of ownership of flats in 1 Co-operative Housing Society (31 March 2020: 1 Co-operative Housing Society); 10 shares (31 March 2020: 10 shares) of ₹ 50/- each.

(b) Agreement in respect of leasehold land as at 31 March 2021 : one location (31 March 2020 : one location) is in the process of renewal.

(c) Depreciation:

	31 March 2021	31 March 2020
Depreciation charge for the year	163.11	148.61
Depreciation charge on investment property for the year [Refer note 5]	0.86	0.86
Amortisation for the year [Refer note 6]	2.80	2.93
Transfer from capital subsidy [Refer note 3 (k) and 47]	-	(0.71)
Depreciation and amortisation charge for the year	**166.77**	**151.69**

(d) Also Refer to note 20, 23(a) and 37(b)

(e) On account of adoption of Ind AS 116 in the previous year (Refer note 3 (e)), existing prepaid lease rentals were re-classified as Right of use assets. Since these are entirely prepaid, the Company does not have any future lease liability towards the same.

(f) Also Refer to note 36(ii)(a)

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Note 5 - Investment property

Reconciliation of carrying amount

Particulars	31 March 2021	31 March 2020
Gross carrying amount		
Opening gross carrying amount	38.24	37.37
Additions during the year	-	0.87
Closing gross carrying amount	**38.24**	**38.24**
Accumulated depreciation		
Opening accumulated depreciation	2.10	1.24
Depreciation charge during the year	0.86	0.86
Closing accumulated depreciation	**2.96**	**2.10**
Net carrying amount	**35.28**	**36.14**

The fair value of investment property is ₹ 44.98 (31 March 2020: ₹ 43.92) and the same has been determined by an external independent property valuer having appropriate recognised professional qualifications. The fair value measurement for investment property has been categorised as Level 2 fair value based on the inputs to the valuation technique used. The valuation techniques used for determining the fair value of the property was based on the prevailing market price of similar property in the same locality. The above investment property includes a sub lease asset and rental income amounting to ₹ 2.97 (31 March 2020: ₹ 2.97) has been recognised in the Statement of Profit and Loss [Other receipts - Refer Note 27].

Note 6 - Intangible assets

Reconciliation of carrying amount

Description	Gross carrying amount				Accumulated amortisation				Carrying amounts (net)
	As at 1 April 2020	Additions	Disposals	As at 31 March 2021	As at 1 April 2020	Amortisation for the year	Disposals	As at 31 March 2021	As at 31 March 2021
Own assets									
Trademarks	0.03	-	-	0.03	-	-	-	-	0.03
Designs	0.01	-	-	0.01	-	-	-	-	0.01
Computer software	27.43	2.97	-	30.40	19.10	2.80	-	21.90	8.50
Total	**27.47**	**2.97**	**-**	**30.44**	**19.10**	**2.80**	**-**	**21.90**	**8.54**

Description	Gross carrying amount				Accumulated amortisation				Carrying amounts (net)
	As at 1 April 2019	Additions	Disposals	As at 31 March 2020	As at 1 April 2019	Amortisation for the year	Disposals	As at 31 March 2020	As at 31 March 2020
Own assets									
Trademarks	0.03	-	-	0.03	-	-	-	-	0.03
Designs	0.01	-	-	0.01	-	-	-	-	0.01
Computer software	23.75	3.68	-	27.43	16.17	2.93	-	19.10	8.33
Total	**23.79**	**3.68**	**-**	**27.47**	**16.17**	**2.93**	**-**	**19.10**	**8.37**

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Note 7 - Non-current investments

	Face value per share / unit	Units / Nos. As at 31 March 2021	Units / Nos. As at 31 March 2020	Amount As at 31 March 2021	Amount As at 31 March 2020
Unquoted					
(i) Investments in equity instruments (fully paid)					
At cost less provision for other than temporary impairment					
Subsidiaries					
Sunrise Biscuit Company Private Limited	₹ 10	14,049,650	14,049,650	14.03	14.03
J B Mangharam Foods Private Limited	₹ 10	354,136	354,136	0.54	0.54
International Bakery Products Limited	₹ 10	1,320,009	1,320,009	1.75	1.75
Manna Foods Private Limited	₹ 10	4,875,001	4,875,001	4.67	4.67
Britannia Dairy Private Limited	₹ 10	5,779,999	5,779,999	70.02	70.02
Boribunder Finance and Investments Private Limited	₹ 10	2,670,999	2,670,999	2.58	2.58
Britchip Foods Limited *	₹ 10	90,000,000	69,000,000	90.00	69.00
Britannia Nepal Private Limited	NPR 100	8,800,000	8,800,000	55.00	55.00
Britannia Bangladesh Private Limited **	TK.10	409,999	409,999	0.34	0.34
Britannia Dairy Holdings Private Limited, Mauritius	USD 1	2,000	2,000	0.01	0.01
				238.94	217.94
Ganges Vally Foods Private Limited ***	₹ 10	25,558,639	25,558,639	26.02	26.02
Less: Provision for impairment in value of investments [Refer note 34]				(16.00)	(16.00)
				10.02	10.02
Britannia and Associates (Mauritius) Private Limited, Mauritius	USD 1	24,372,087	24,372,087	121.69	121.69
Less: Provision for impairment in value of investments [Refer note 34]				-	-
				121.69	121.69
Associates					
Nalanda Biscuits Company Limited	₹ 10	87,500	87,500	0.28	0.28
Sunandaram Foods Private Limited	₹ 10	459,800	459,800	14.50	14.50
				14.78	14.78
				385.43	364.43
(ii) Investments in preference shares (fully paid)					
At amortised cost					
Subsidiaries					
Britannia Dairy Private Limited - 10% Non-cumulative Redeemable preference shares	₹ 10	6,000,000	6,000,000	6.00	6.00
Britannia Dairy Holdings Private Limited, Mauritius - Class C - preference shares	USD 1	7,411,000	7,411,000	0.05	0.05
				6.05	6.05
(iii) Investments in debentures / bonds / mutual funds					
At cost					
Subsidiaries					
International Bakery Products Limited - 0% Unsecured Convertible Debentures	₹ 100,000	582	582	5.82	5.82

* During the year ended 31 March 2021, the Company invested ₹ 21.00 (31 March 2020: ₹ 18.00) in Britchip Foods Limited and holds 60% stake in the entity as at the balance sheet date.

** During the year ended 31 March 2021, the Company invested ₹ Nil (31 March 2020: ₹ 0.34) in Britannia Bangladesh Private Limited and holds 100% stake in the entity as at the balance sheet date.

*** During the year ended 31 March 2021, the Company invested ₹ Nil (31 March 2020: ₹ 15.41) in Ganges Vally Foods Private Limited. The Company holds a total stake of 98.66% (31 March 2020: 98.66%) in the entity as at the balance sheet date. Also Refer note 34.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

As at	31 March 2021	31 March 2020
At fair value through profit and loss		
(i) Investments in mutual funds	221.12	503.88
(ii) Investments with insurance companies	15.40	14.61
At amortised cost		
(i) Investments in debentures / bonds	1,000.10	1,338.89
(ii) Investments in tax free bonds	14.11	14.11
(iii) Investments in government securities	9.13	11.32
Total long-term investments	**1,657.16**	**2,259.11**
Total quoted non-current investments	-	-
Total unquoted non-current investments	1,657.16	2,259.11
	1,657.16	**2,259.11**
Aggregate provision for impairment in value of investments	16.00	16.00
Aggregate market value of quoted non-current investments	-	-

Note 8 - Loans receivable

Unsecured		
Loans to related parties *	-	1.04
Inter-corporate deposits [Refer note 39(b)]	58.00	176.00
Security deposits	12.73	15.83
Other loans	-	0.20
Less: Provision for impairment	-	1.04
	70.73	**192.03**

* Forms a part of outstanding balances as disclosed under note 45.

Note 9 - Other financial assets

Other deposits	0.88	1.20
	0.88	**1.20**

Note 10 - Other non-current assets

Unsecured		
Considered good:		
Capital advances	81.88	18.73
Advances other than capital advances		
- Advances to statutory authorities	17.12	16.56
Others		
- Prepaid rent	0.09	0.13
- Receivable from others	2.04	1.67
Considered doubtful:		
Advances to others	8.93	8.93
Less: Provision for impairment	(8.93)	(8.93)
	101.13	**37.09**

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

As at	31 March 2021	31 March 2020
Note 11 - Inventories*		
Raw materials	624.98	319.92
Packing materials	70.24	61.92
Work-in-progress	0.04	0.95
Finished goods	213.18	168.60
Goods-in-transit (Finished goods)	3.96	7.69
Stock-in-trade	47.50	44.22
Stores and spare parts	31.38	30.23
	991.28	**633.53**

* Refer note 3 (f) for mode of valuation for inventories.

The write down of inventories to net realisable value amounted to ₹ 0.07 (31 March 2020: ₹ 1.15). The write down is included in Cost of materials consumed or Changes in inventories of finished goods,work-in-progress and stock- in-trade.

Note 12 - Current investments		
At fair value through profit and loss		
(i) Investments in mutual funds	1,278.97	780.16
At amortised cost		
(i) Investments in debentures / bonds	11.80	100.93
(ii) Investments in government securities	2.19	0.97
Total current investments	**1,292.96**	**882.06**
Total quoted current investments	-	-
Total unquoted current investments	1,292.96	882.06
	1,292.96	**882.06**
Note 13 - Trade receivables*		
Unsecured	200.72	244.03
	200.72	**244.03**
Less: Provision for impairment	2.36	1.80
	198.36	**242.23**

The Company's exposure to credit and currency risks, and loss allowances related to trade receivables are disclosed in note 54.

* Includes receivable from related parties [Refer note 45].

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

As at	31 March 2021	31 March 2020
Note 14 - Cash and bank balances		
Cash and cash equivalents:		
- Cash on hand	0.01	0.01
- Cheques on hand	0.58	8.92
- Current accounts	76.99	12.83
	77.58	**21.76**
Other bank balances:		
- Unpaid dividend accounts #	29.32	13.41
- Unclaimed debenture interest #	0.86	0.06
- Unclaimed debenture redemption proceeds #	-	1.19
- Deposit accounts	3.04	2.74
	33.22	**17.40**
	110.80	**39.16**
# Refer note 49		
Note 15 - Loans receivable		
Unsecured		
Inter-corporate deposits [Refer note 39(b)] *	941.00	1,071.00
Security deposits	5.00	4.64
Loans to others	0.09	0.09
	946.09	**1,075.73**
* Forms a part of outstanding balances as disclosed under note 45.		
Note 16 - Other financial assets		
Interest accrued but not due	84.78	95.94
Incentives recoverable*	298.72	131.94
	383.50	**227.88**
*Incentives recoverable in accordance with the State Industrial Policy of certain States.		
Note 17 - Other current assets		
Unsecured, considered good		
Advances other than capital advances		
- Advances to related parties *	11.69	12.03
- Advance for supply of goods	2.17	3.36
- Advances to contract packers	14.55	25.31
- Employee benefits - gratuity, net [Refer note 46(b)]	4.54	-
Others		
- Prepayments	19.01	14.52
- Balance with government authorities	11.11	13.92
- Other advances	28.87	35.42
	91.94	**104.56**
* Forms a part of outstanding balances as disclosed under note 45.		

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

As at	31 March 2021	31 March 2020
Note 18 - Equity share capital		
Equity shares		
Authorised	**50.00**	**50.00**
[500,000,000 equity shares of ₹ 1/- each (31 March 2020: 500,000,000 equity shares of ₹ 1/- each)] [Refer note 43]		
Issued, subscribed and paid-up		
Equity shares fully paid-up	24.09	24.05
[240,868,296 equity shares of ₹ 1/- each (31 March 2020: 240,468,296 equity shares of ₹ 1/- each)]*		
* Of the total fully paid up equity shares: 121,732,190 equity shares of ₹ 1/- each (31 March 2020: 121,732,190 equity shares of ₹ 1/- each) are held by the subsidiaries of The Bombay Burmah Trading Corporation Limited, the ultimate holding company [Refer note (a) below]		

Rights, preferences and restrictions attached to the equity shares:

- The Company has only one class of shares referred to as equity shares having a par value of ₹ 1/- per share. Each holder of equity shares is entitled to one vote per share.
- The Company declares and pays dividends in Indian rupees. The final dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting.
- In the event of liquidation of the Company, the holders of equity shares will be entitled to receive any of the remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

Details of shareholders holding more than 5% of total number of equity shares, including amount [Refer note (b) below].

Reconciliation of the number of shares outstanding at the beginning and at the end of the reporting year [Refer note (c) below].

The number of options that can be granted under the Britannia Employee Stock Option Scheme, was increased from 875,000 to 1,775,000 before sub-division and to 3,550,000 after sub-division in the year 2019. Out of this, 2,550,000 options (of ₹ 1 each) have been granted and 1,966,666 options (of ₹ 1 each) were exercised till 31 March 2021. 83,334 shares of ₹ 1 each were allotted on 12 June 2020 at an exercise price of ₹ 1,766.65/-, 90,000 shares of ₹ 1 each were allotted on 7 July 2020 at an exercise price of ₹ 2,732.05/-, 84,000 shares of ₹ 1 each were allotted on 28 July 2020 at an exercise price of ₹ 2,732.05/-, 26,000 shares of ₹ 1 each were allotted on 2 November 2020 at an exercise price of ₹ 2,732.05/- and 116,666 shares of ₹ 1 each were allotted on 2 November 2020 at an exercise price of ₹ 2,896.05/- respectively.

Also Refer note 43 and 49.

	24.09	**24.05**

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Notes:

(a) Shares in respect of equity in the Company held by its holding or ultimate holding company, including shares held by subsidiaries or associates of the holding company or the ultimate holding company in aggregate:

As at	31 March 2021		31 March 2020	
	Number of shares	Amount	Number of shares	Amount
Holding Company				
Associated Biscuits International Limited (ABIL), UK	107,809,000	10.78	107,809,000	10.78
Subsidiaries of holding company				
Bannatyne Enterprises Pte Limited, Singapore	2,783,110	0.28	2,783,110	0.28
Dowbiggin Enterprises Pte Limited, Singapore	2,785,020	0.28	2,785,020	0.28
Nacupa Enterprises Pte Limited, Singapore	2,785,020	0.28	2,785,020	0.28
Spargo Enterprises Pte Limited, Singapore	2,785,020	0.28	2,785,020	0.28
Valletort Enterprises Pte Limited, Singapore	2,785,020	0.28	2,785,020	0.28
	121,732,190	**12.18**	**121,732,190**	**12.18**

(b) Details of shareholders holding more than 5% of total number of equity shares:

As at	31 March 2021		31 March 2020	
	Number of shares	% holding	Number of shares	% holding
Associated Biscuits International Limited (ABIL), UK	107,809,000	44.76%	107,809,000	44.83%

(c) Reconciliation of the number of equity shares outstanding at the beginning and at the end of the reporting year:

As at	31 March 2021		31 March 2020	
	Number of shares	Amount	Number of shares	Amount
Opening balance at the beginning of the reporting year	240,468,296	24.05	240,318,294	24.03
Shares issued under the Employee Stock Option Scheme	400,000	0.04	150,002	0.02
Closing balance at the end of the reporting year	**240,868,296**	**24.09**	**240,468,296**	**24.05**

(d) Share based payments

During the financial year 2008-09, the Company introduced Britannia Industries Limited Employee Stock Option Scheme ('the Scheme'). As per the Scheme, the Remuneration / Compensation Committee grants options to the employees and Executive Directors of the Company. The vesting period of the option is one to three years from the date of grant. Options granted under the Scheme can be exercised within a period of three years from the date of vesting.

Under the Scheme, the Company granted 15,000 options on 29 October 2008 at an exercise price of ₹ 1,125.30/-; 15,000 options on 27 May 2009 at an exercise price of ₹ 1,698.15/-; 20,000 options on 27 May 2010 at an exercise price of ₹ 1,668.55/-; 125,000 options on 27 May 2011 at an exercise price of ₹ 391.75/-; 100,000 options on 28 May 2012 at an exercise price of ₹ 528.75/-; 50,000 options on 26 May 2014 at an exercise price of ₹ 870.35/-, 75,000 options on 21 May 2015 at an exercise price of ₹ 2,332.05/-, 100,000 options on 30 June 2016 at an exercise price of ₹ 2,771.40/-, 125,000 options on 25 May 2017 at an exercise price of ₹ 3,533.30/-, 150,000 options on 15 May 2018 at an exercise price of ₹ 5,464.10/-, 350,000 options on 1 May 2019 at an exercise price of ₹ 2,896.05/- and 250,000 options on 2 June 2020 at an exercise price of ₹ 3,434.85/- to the Managing Director of the Company. Each option represents one equity share of ₹ 10/- each (for options granted between the years 2008 to 2010) and one equity share of ₹ 2/- each (for options granted between the years 2011 to 2018) and one equity share of ₹ 1/- each (for options granted after the year 2018). The said price was determined in accordance with the pricing formula approved by the shareholders i.e. the latest available closing price, prior to the date of the meeting of the Board of Directors or Remuneration / Compensation Committee in which options were granted, on the stock exchange having higher trading volume.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Exercise prices as stated above were adjusted downwards by ₹ 170/- per share for options granted on 29 October 2008 and 27 May 2009, being the face value of bonus debentures issued pursuant to the Scheme of Arrangement approved by the Honourable Calcutta High Court on 11 February 2010.

The number of options have been appropriately adjusted, consequent upon the sub-division of the equity shares [Refer note (e) below].

Movement in the options under the scheme:	31 March 2021	31 March 2020
Options outstanding at the beginning of the year (of ₹ 1 each)	733,334	533,336
Options granted during the year (of ₹ 1 each)	250,000	350,000
Options vested during the year (of ₹ 1 each)	300,000	250,002
Options exercised during the year (of ₹ 1 each)	400,000	150,002
Shares allotted against options exercised during the year (of ₹ 1 each)	400,000	150,002
Options lapsed during the year (of ₹ 1 each)	-	-
Options outstanding at the end of the year (of ₹ 1 each)	583,334	733,334
Options exercisable at the end of the year (of ₹ 1 each)	-	100,000
Weighted average price per option outstanding at the end of the year (of ₹ 1 each)	3,098.85	2,700.62

Fair Value Measurement:

The fair value at grant date is determined using the Black Scholes valuation option-pricing model which takes into account the exercise price, the term of the option, the share price at grant date and expected price volatility of the underlying share, the expected dividend yield and the risk free interest rate for the term of the option.

The key inputs used in Black-Scholes model for calculating fair value of options under the scheme as on the date of grant are as follows:

Particulars	31 March 2021	31 March 2020
No. of options granted (of ₹ 1 each)	250,000	350,000
Date of grant	2-Jun-20	1-May-19
Vesting period (years)	1 to 3	1 to 3
Expected life of option (years)	3	3
Expected volatility	23.37%	20.89%
Risk free rate	4.62%	7.03%
Expected dividends expressed as a dividend yield	1.02%	0.52%
Weighted-average fair values of options per share (of ₹ 1 each)	694.98	678.56

(e) In the Annual General Meeting held on 9 August 2010, the shareholders of the Company approved the sub-division of equity shares, where in each equity share with a face value of ₹ 10 was subdivided into 5 equity shares with a face value of ₹ 2 each. The effective date for the sub-division was 10 September 2010. Further, the Board of Directors at their meeting held on 23 August 2018 approved the sub-division of each equity share of face value of ₹ 2 fully paid up into 2 equity shares of face value of ₹ 1 each fully paid. The same was approved by the members on 15 October 2018 through postal ballot and e-voting. The effective date for the sub-division was 30 November 2018.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Note 19 - Other equity

Particulars	Share options outstanding account	Capital redemption reserve	Debenture redemption reserve	Capital reserve	General reserve	Securities premium	Retained earnings	Other Items of OCI	Total
Balance as at 1 April 2019	19.93	3.96	-	0.43	745.31	85.57	3,163.18	(2.96)	4,015.42
Additions:									
Share based payment expense	21.58	-	-	-	-	-	-	-	21.58
Transfer from Share options outstanding account	-	-	-	-	-	7.10	-	-	7.10
On issue of equity shares	-	-	-	-	-	23.95	-	-	23.95
Transfer from retained earnings	-	-	180.24	-	148.43	-	-	-	328.67
Remeasurement of the net defined benefit (liability)/asset, net of tax effect	-	-	-	-	-	-	-	(4.59)	(4.59)
Net profit after tax transferred from the Statement of Profit and Loss	-	-	-	-	-	-	1,484.30	-	1,484.30
	41.51	**3.96**	**180.24**	**0.43**	**893.74**	**116.62**	**4,647.48**	**(7.55)**	**5,876.43**
Deductions:									
Transfer to general reserve	-	-	-	-	-	-	148.43	-	148.43
Transfer to debenture redemption reserve	-	-	-	-	-	-	180.24	-	180.24
Transfer to securities premiunm	7.10	-	-	-	-	-	-	-	7.10
Dividends	-	-	-	-	-	-	360.48	-	360.48
Tax on dividend	-	-	-	-	-	-	61.79	-	61.79
Issue of bonus debentures	-	-	-	-	-	-	720.95	-	720.95
Tax on bonus debentures	-	-	-	-	-	-	146.84	-	146.84
Balance as at 31 March 2020	**34.41**	**3.96**	**180.24**	**0.43**	**893.74**	**116.62**	**3,028.75**	**(7.55)**	**4,250.60**

Particulars	Share options outstanding account	Capital redemption reserve	Debenture redemption reserve	Capital reserve	General reserve	Securities premium	Retained earnings	Other Items of OCI	Total
Balance as at 1 April 2020	34.41	3.96	180.24	0.43	893.74	116.62	3,028.75	(7.55)	4,250.60
Additions:									
Share based payment expense	18.94	-	-	-	-	-	-	-	18.94
Transfer from Share options outstanding account	-	-	-	-	-	25.25	-	-	25.25
On issue of equity shares	-	-	-	-	-	103.11	-	-	103.11
Remeasurement of the net defined benefit (liability)/asset, net of tax effect	-	-	-	-	-	-	-	2.42	2.42
Net profit after tax transferred from the Statement of Profit and Loss	-	-	-	-	-	-	1,760.03	-	1,760.03
	53.35	**3.96**	**180.24**	**0.43**	**893.74**	**244.98**	**4,788.78**	**(5.13)**	**6,160.35**
Deductions:									
Transfer to securities premiunm	25.25	-	-	-	-	-	-	-	25.25
Dividends	-	-	-	-	-	-	2,839.66	-	2,839.66
Balance as at 31 March 2021	**28.10**	**3.96**	**180.24**	**0.43**	**893.74**	**244.98**	**1,949.12**	**(5.13)**	**3,295.44**

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Nature and purpose of other reserves

Share options outstanding account
The share options outstanding account is used to recognise the grant date fair value of options issued under Britannia Industries Limited Employee Stock Option Scheme.

Securities premium reserve
Securities premium reserve is used to record the premium on issue of shares. The reserve is utilised in accordance with the provisions of the Act.

Capital redemption reserve
The Company had purchased its own shares and as per the provisions of the applicable laws, a sum equal to the nominal value of the shares so purchased was required to be transferred to the capital redemption reserve.

Capital reserve
Capital reserve represents subsidy received for industrial undertaking under Central Capital Investment Subsidy Scheme, 2003.

Debenture redemption reserve
The Company has issued bonus debentures and as per the provisions of the applicable laws, a sum equal to 25% of the issue size of bonus debentures was required to be transferred to debenture redemption reserve.

General reserve
General reserve is created from time to time by way of transfer profits from retained earnings for appropriation purposes. General reserve is created by a transfer from one component of equity to another and is not an item of other comprehensive income.

Retained earnings
Retained earnings are the accumulated profits earned by the Company till date, less transfer to general reserves, dividend (including dividend distribution tax) and other distributions made to the shareholders.

Dividends
The following dividends were declared and paid by the Company during the year:

As at	31 March 2021	31 March 2020
₹ 118 per equity share of face value of ₹ 1 each (31 March 2020: ₹ 15 per equity share of face value of ₹ 1 each) to equity shareholders	2,839.66	360.48
Dividend distribution tax (DDT) on dividend to equity shareholders*	-	61.79
	2,839.66	422.27

After the reporting date, interim dividend of ₹ 62 per equity share of face value of ₹ 1 each was declared by the Board of directors in their meeting held on 2 April 2021.
* Pursuant to Finance Act 2020, dividend income will be taxable in the hands of shareholders w.e.f. 1 April, 2020 and the Company is required to deduct tax at source from dividend paid to shareholders at the prescribed rates.

Note 20 - Borrowings

Non- current		
Secured		
Long-term maturities of lease obligations [Refer note 23 (a) for details of maturity period, repayment terms and rate of interest] [Secured by hypothecation of assets (vehicles) taken on lease]	0.60	1.18
240,318,294 (31 March 2020: 240,318,294) 8.00% Redeemable Non-convertible Bonus Debentures of face value of ₹ 30 each, fully paid up [Secured by way of charge on current assets (Inventories and Trade receivables). Redeemable in full at the end of 3 years from 28 August 2019 being the date of allotment]	720.95	720.95
	721.55	722.13
Current		
Unsecured		
Commercial paper*	974.41	478.45
Working capital loan**	100.00	-
Bank overdraft***	1.29	1.54
	1,075.70	479.99

*Carrying interest at 3.90% - 4.19% p.a. and repayable between August 2021 to March 2022.
**Carrying interest at 4.00% p.a. and repayable in April 2021.
***Carrying interest at 4.25% p.a. (31 March 2020: prevailing MCLR) and repayable on demand.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

As at	31 March 2021	31 March 2020
Note 21 - Other financial liabilities		
Deposits from customers	37.89	29.31
Security deposits	1.43	1.22
	39.32	**30.53**
Note 22 - Trade payables		
Total outstanding dues of micro enterprises and small enterprises [Refer note below]	28.44	8.53
Total outstanding dues of creditors other than micro enterprises and small enterprises*	1,162.65	878.17
	1,191.09	**886.70**

Note:

There are no material dues owed by the Company to Micro and Small enterprises, which are outstanding for more than 45 days during the year and as at 31 March 2021. This information as required under the Micro, Small and Medium Enterprises Development Act, 2006 has been determined to the extent such parties have been identified on the basis of information available with the Company and has been relied upon by the auditors.

The principal amount and the interest due thereon remaining unpaid to any supplier as at the end of the year:		
- Principal	28.44	8.53
- Interest	-	-
The amount of interest paid by the Company in terms of Section 16 of the MSMED Act, 2006 along with the amount of the payment made to the supplier beyond the appointed date during the year.	-	-
The amount of interest due and payable for the period of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under MSMED Act, 2006.	-	-
The amount of interest accrued and remaining unpaid at the end of each accounting year.	-	-
The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise for the purposes of disallowance as a deductable expenditure under the MSMED Act, 2006.	-	-

*Includes dues to related party (Refer note 45)

The Company's exposure to currency and liquidity risks related to trade payables is disclosed in note 54.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

As at	31 March 2021	31 March 2020
Note 23 - Other financial liabilities		
Current maturities of lease obligations (Refer note (a) below)	0.77	0.61
Unpaid dividend *	29.32	13.41
Unclaimed debenture interest *	0.86	0.06
Unclaimed debenture redemption balance *	-	1.19
Interest accrued but not due	35.85	35.43
Liability under reverse factoring arrangement **	205.21	180.70
Creditors for capital goods	39.91	23.87
Payroll related liabilities	64.76	74.72
Other payables	128.60	84.64
	505.28	**414.63**

* Investor Education and Protection Fund shall be credited when due.
** Represents dues towards a financial institution relating to bill discounting transactions entered by subsidiary companies under reverse factoring arrangement.

[Refer note 49]

Note:

(a) Rate of interest for lease obligations range from 16.60% to 20.20% per annum. Number of repayment installments (quarterly) for lease obligations range from 4 to 10. Period of maturity for the lease obligations range from 1 month to 3 years [Refer note 37(b)].

Note 24 - Other current liabilities		
Advance from customers	49.96	71.74
Statutory liabilities (TDS, PF, GST etc.)	74.89	62.13
Deferred revenue*	3.51	4.26
	128.36	**138.13**

* Relates to loyalty credit points granted to the customers as part of sales transactions and has been estimated with reference to the relative standalone selling price of the products for which they could be redeemed. Closing balance represents the estimated liability towards unredeemed points.

Opening balance	4.26	3.34
Deferred during the year	8.46	13.88
Released to the statement of profit and loss	9.21	12.96
Closing balance	**3.51**	**4.26**

Note 25 -Provisions		
Provision for compensated absences	22.77	18.81
Employee benefits - gratuity, net [Refer note 46(b)]	-	1.38
Others:		
Excise duty and service tax related issues (a)	7.56	7.55
Sales tax and other issues (a)	135.90	134.47
Trade and other issues (a)	199.40	89.77
	365.63	**251.98**

(a) Refer note 41.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

For the year ended	31 March 2021	31 March 2020
Note 26 - Revenue from operations		
Sale of goods	12,112.90	10,821.49
Customer loyalty programme [Refer note 24]	0.75	(0.92)
Total (a) [Refer note 55]	**12,113.65**	**10,820.57**
Other operating revenues		
Royalty income	18.50	14.76
Scrap sales	29.83	27.28
Other receipts [Refer note below]	215.81	124.07
Reversal of provision for doubtful advances	1.04	-
Total (b)	**265.18**	**166.11**
Total revenue from operations (a+b)	**12,378.83**	**10,986.68**
Note: Includes incentives recognised in accordance with the State Industrial Policy of certain States.		
Note 27 - Other income		
Interest income from financial assets carried at amortised cost	219.52	168.67
Dividend income ^	-	66.47
Net gain on financial asset measured at fair value through profit and loss*	60.75	81.42
Profit on sale of property, plant and equipment	0.09	0.17
Foreign exchange gain, net	2.05	5.94
Other receipts	10.29	12.76
	292.70	**335.43**
^ Received from one of the subsidiaries of the Company in the previous year.		
*Includes net gains on fair value changes include ₹ 21.93 (31 March 2020: ₹ 43.75)		
Note 28 - Cost of materials consumed		
Inventory of materials at the beginning of the year	381.84	403.71
Add: Purchases	5,823.07	5,030.80
Less: Inventory of materials at the end of the year	695.22	381.84
	5,509.69	**5,052.67**
Note 29 - Purchases of stock-in-trade		
Biscuits and high protein food	1,431.55	1,071.00
Bread, bread toast and rusk	144.23	100.92
Cake	239.62	245.50
Others	93.10	126.13
	1,908.50	**1,543.55**
Note 30 - Changes in inventories of finished goods, work-in-progress and stock- in-trade		
Opening inventory:		
- Finished goods	176.29	240.22
- Stock-in-trade	44.22	41.22
- Work-in-progress	0.95	1.53
Closing inventory:		
- Finished goods	217.14	176.29
- Stock-in-trade	47.50	44.22
- Work-in-progress	0.04	0.95
(Increase) / decrease in inventory	**(43.22)**	**61.51**

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

For the year ended	31 March 2021	31 March 2020
Note 31 - Employee benefits expense		
Salaries, wages and bonus	342.06	316.35
Contribution to provident and other funds [Refer note 46]	18.21	15.89
Share based payment expense	18.94	21.58
Staff welfare expenses	23.64	15.05
	402.85	**368.87**
Note 32 - Finance costs		
Finance cost on lease obligation	0.33	0.18
Interest on borrowings	95.73	63.66
Others	1.75	1.33
	97.81	**65.17**
Note 33 - Other expenses		
Consumption of stores and spares	32.73	32.82
Power and fuel	129.42	134.93
Rent [Refer note 37 (a)]	35.41	39.86
Repairs and maintenance:		
- Plant and equipment (a)	21.74	23.34
- Buildings (a)	3.25	2.22
- Others	30.24	25.38
Insurance	7.47	3.91
Rates and taxes, net	7.35	6.98
Carriage, freight and distribution	630.22	574.76
Auditors' remuneration (b):		
- Audit fees	1.19	1.12
- Other services	0.15	0.27
- Expenses reimbursed	0.01	0.12
Corporate social responsibility [Refer note 48]	32.44	28.43
Write off of Bad debts	-	5.10
Reversal of provision for impairment in receivables	-	(5.10)
Allowance for doubtful receivables and loans, net	0.56	0.26
Advertising and sales promotion	381.21	412.11
Conversion charges	597.47	578.90
Miscellaneous	338.83	323.98
	2,249.69	**2,189.39**
(a) Includes stores and spares consumed	6.29	6.26
(b) Excluding applicable taxes		
Note 34 - Exceptional items [(Income)/Expense]		
Reversal of provision for diminution in value of investments in subsidiaries [Refer note below]	-	(35.00)
Provision for diminution in value of investments in subsidiaries [Refer note below]	-	16.00
	-	**(19.00)**

Note: During the previous year, in accordance with IND AS 36 - 'Impairment of Assets', the Company, based on its assessment of the business performance of Britannia and Associates (Mauritius) Private Limited & its step down subsidiaries in the Middle East, reversed ₹ 35 provision for diminution in the value of investment in equity shares. Further, the Company provided ₹ 16 for diminution in the value of investment in equity shares of Ganges Vally Foods Private Limited which shut down its factory operations and announced Voluntary Retirement Scheme (VRS) for its employees.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Note 35- Income-tax

(a) Amounts recognised in Statement of Profit and Loss

For the year ended	31 March 2021	31 March 2020
Current tax*	622.53	416.86
Deferred tax		
Attributable to origination and reversal of temporary differences	(3.12)	7.10
Tax expense for the year	**619.41**	**423.96**

*Previous year includes credit on account of restatement of provisions pursuant to application for settlement of old disputed direct tax cases under the Amnesty scheme (Vivaad Se Vishwas) announced by the Central Government.

(b) Amounts recognised in other comprehensive income

For the year ended	31 March 2021			31 March 2020		
	Before tax	Tax (expense) benefit	Net of tax	Before tax	Tax (expense) benefit	Net of tax
Items that will not be reclassified subsequently to statement of profit and loss						
Remeasurements of the defined benefit plans	3.27	(0.85)	2.42	(5.90)	1.31	(4.59)
	3.27	**(0.85)**	**2.42**	**(5.90)**	**1.31**	**(4.59)**

(c) Reconciliation of effective tax rate

For the year ended	31 March 2021		31 March 2020	
Profit before tax		**2,379.44**		**1,908.26**
Tax using the Company's domestic tax rate (31 March 2021: 25.17% and 31 March 2020: 25.17%)*	25.17%	598.86	25.17%	480.27
Tax effect of:				
Income exempt from tax or taxed at concessional rates	(0.26%)	(6.13)	(1.23%)	(23.43)
Expenses not deductible for tax purposes	0.45%	10.70	0.19%	3.58
Additional income tax deductions	(0.02%)	(0.57)	(0.02%)	(0.37)
Adjustments recognised in relation to tax of prior years	0.61%	14.52	(1.90%)	(36.25)
Others	0.09%	2.03	0.01%	0.16
	26.03%	**619.41**	**22.22%**	**423.96**

* The Company had elected to exercise the option permitted under Section 115BAA of the Income-tax Act, 1961 as introduced by the Taxation Laws (Amendment) Ordinance, 2019 during the year ended 31 March 2020 and accordingly re-measured deferred tax assets/(liabilities) basis the rate prescribed in the said section.

(d) Recognised deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

	Deferred tax assets		Deferred tax liabilities		Deferred tax (liabilities) / asset, net	
	31 March 2021	31 March 2020	31 March 2021	31 March 2020	31 March 2021	31 March 2020
Property, plant and equipment	-	-	45.56	46.93	(45.56)	(46.93)
Investment at fair value through profit and loss	-	-	9.68	10.18	(9.68)	(10.18)
Statutory dues / provisions	47.39	46.14	-	-	47.39	46.14
	47.39	**46.14**	**55.24**	**57.11**	**(7.85)**	**(10.97)**

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

(e) Movement in temporary differences

	As at 1 April 2019	Recognised in statement of profit and loss	Recognised in OCI	Recognised directly in equity	Others	As at 31 March 2020
Property, plant and equipment	(64.21)	17.28	-	-	-	(46.93)
Investment at fair value through profit and loss	(7.67)	(2.51)	-	-	-	(10.18)
Statutory dues / provisions	68.01	(21.87)	-	-	-	46.14
	(3.87)	(7.10)	-	-	-	(10.97)

	As at 1 April 2020	Recognised in statement of profit and loss	Recognised in OCI	Recognised directly in equity	Others	As at 31 March 2021
Property, plant and equipment	(46.93)	1.37	-	-	-	(45.56)
Investment at fair value through profit and loss	(10.18)	0.50	-	-	-	(9.68)
Statutory dues / provisions	46.14	1.25	-	-	-	47.39
	(10.97)	3.12	-	-	-	(7.85)

The following table provides the details of income tax assets and income tax liabilities as of 31 March 2021 and 31 March 2020

As at	31 March 2021	31 March 2020
Income tax assets (net)	55.68	59.31
Current tax liabilities (net)	61.70	43.63
Net current income tax asset / (liability) at the end	(6.02)	15.68

The gross movement in the current income tax asset / (liability) for the year ended 31 March 2021 and 31 March 2020 is as follows

For the year ended	31 March 2021	31 March 2020
Net current income tax asset / (liability) at the beginning	15.68	(41.07)
Income tax paid (Net of refunds)	601.68	472.30
Current income tax expense	(622.53)	(416.86)
Income tax on other comprehensive income and others	(0.85)	1.31
Net current income tax asset / (liability) at the end	(6.02)	15.68

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Note 36 Contingent liabilities and commitments (to the extent not provided for) :

(i) Contingent liabilities:

(a) Claims / demands against the Company not acknowledged as debts including excise duty, income tax, sales tax and trade and other demands of ₹ 56.87 (31 March 2020: ₹ 58.65)

(b) Bank guarantees and letters of credit for ₹ 84.62 (31 March 2020 : ₹ 48.08)

Notes:

(i) Contingent liabilities disclosed above represent possible obligations where possibility of cash outflow to settle the obligations is not remote.

(ii) The above does not include non-quantifiable industrial disputes and other legal disputes pending before various judicial authorities [Also Refer note 41 and 49].

(iii) The Supreme court of India in the month of February 2019 had passed a judgement relating to definition of wages under the Provident Fund Act, 1952. Considering that there are numerous interpretative issues relating to this judgement and in the absence of reliable measurement of the provision for the earlier periods, the Company had made a suitable provision for provident fund contribution during the Financial Year 2018-19. The Company will evaluate its position and update its provision, if required, on receiving further clarity on the subject. The Company does not expect any material impact of the same.

(ii) Commitments:

(a) Estimated amount of contracts remaining to be executed on capital account and not provided for ₹ 405.56 (31 March 2020: ₹ 134.64).

(b) The Company has furnished the following corporate guarantees:

	Banking facilities given to	Name of the bank	31 March 2021	31 March 2020
(i)	Britannia and Associates (Mauritius) Private Limited, Mauritius * [Refer note 40]	Cooperatieve Rabobank U.A	87.73	90.40

* This is against working capital loan extended to step down subsidiaries in Middle East.

Regarding items (i) and (ii) (b) above, it is not practicable to disclose information in respect of the estimate of the financial effect, an indication of the uncertainties relating to outflow and the possibility of any reimbursement as it is determinable only on occurrence of uncertain future events / receipt of judgements pending at various forums.

(c) The Company has furnished the following letters of comfort / letters of awareness:

	Banking facilities given to	Name of the bank	31 March 2021	31 March 2020
(i)	Strategic Food International Co. LLC, Dubai	Standard Chartered Bank	9.95	10.25
(ii)	Al Sallan Food Industries Co. SAOC	Standard Chartered Bank	-	9.78
(iii)	J B Mangharam Foods Private Limited	HSBC Bank	25.00	25.00
(iv)	Manna Foods Private Limited	ICICI Bank	3.50	3.50
	Manna Foods Private Limited	Standard Chartered Bank	60.00	60.00
(v)	International Bakery Private Limited	Standard Chartered Bank	30.00	30.00

These letters are not to be construed as a guarantee issued by the Company.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Note 37 **(a) Short term leases**

(i) The Company has certain operating leases for office facilities and residential premises. Such leases are generally with the option of renewal against increased rent and premature termination of agreement on mutual consent of both the parties. Rental expenses of ₹ 8.60 (31 March 2020: ₹ 8.19) in respect of obligation under operating leases have been recognised in the Statement of Profit and Loss.

(ii) The Company has certain cancellable arrangements with contract packers identified to be in the nature of lease and have been classified as operating lease arrangements. Rental expenses of ₹ 26.81 (31 March 2020: ₹ 31.67) in respect of obligation under operating leases have been recognised in the Statement of Profit and Loss.

(b) Leases liabilities

(i) The Company has taken motor vehicles on lease. The total minimum lease payments and present value of minimum lease payments are as follows:

	31 March 2021		31 March 2020	
	Minimum lease payments	Present value of minimum lease payments	Minimum lease payments	Present value of minimum lease payments
Not later than 1 year	0.86	0.77	0.85	0.61
Later than 1 year and not later than 5 years	0.62	0.60	1.42	1.18
	1.48	**1.37**	**2.27**	**1.79**

The difference between minimum lease payments and the present value of minimum lease payments of ₹ 0.11 (31 March 2020: ₹ 0.48) represents interest not due. The lease liability is secured by the relevant vehicles acquired under lease.

(ii) The Company has taken certain land on lease for factory purposes. Since these are entirely prepaid, the Company does not have any future lease liability towards the same.

Note 38 **(i) Details of non-current investments (other than mutual funds) purchased and sold during the year:**

	Face value per unit	As at 1 April 2020	Purchased during the year	Provided / Reclassed / Sold / Redeemed / Written off / Written back during the year	As at 31 March 2021
<u>Trade investments - Unquoted</u>					
(a) Investments in equity instruments (fully paid)					
Subsidiaries					
Sunrise Biscuit Company Private Limited	₹ 10	14.03	-	-	14.03
Ganges Vally Foods Private Limited	₹ 10	26.02	-	-	26.02
J B Mangharam Foods Private Limited	₹ 10	0.54	-	-	0.54

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

	Face value per unit	As at 1 April 2020	Purchased during the year	Provided / Reclassed / Sold / Redeemed / Written off / Written back during the year	As at 31 March 2021
International Bakery Products Limited	₹ 10	1.75	-	-	1.75
Manna Foods Private Limited	₹ 10	4.67	-	-	4.67
Britannia Dairy Private Limited	₹ 10	70.02	-	-	70.02
Boribunder Finance and Investments Private Limited	₹ 10	2.58	-	-	2.58
Britchip Foods Limited	₹ 10	69.00	21.00	-	90.00
Britannia Nepal Private Limited	NPR 100	55.00	-	-	55.00
Britannia Bangladesh Private Limited	Tk.10	0.34	-	-	0.34
Britannia Dairy Holdings Private Limited, Mauritius	USD 1	0.01	-	-	0.01
Britannia and Associates (Mauritius) Private Limited, Mauritius	USD 1	121.69	-	-	121.69
Less: Provision for diminution in value of investments [Refer note 34]		(16.00)	-	-	(16.00)
		349.65	**21.00**	**-**	**370.65**
Associates					
Nalanda Biscuits Company Limited	₹ 10	0.28	-	-	0.28
Sunandaram Foods Private Limited	₹ 10	14.50	-	-	14.50
		14.78	**-**	**-**	**14.78**
(b) Investments in preference shares (fully paid)					
Subsidiaries					
Britannia Dairy Private Limited - 10% Non Cumulative Redeemable Preference Shares	₹ 10	6.00	-	-	6.00
Britannia Dairy Holdings Private Limited, Mauritius - Class C - Preference Shares	USD 1	0.05	-	-	0.05
		6.05	**-**	**-**	**6.05**
(c) Investments in debentures / bonds					
Subsidiaries					
International Bakery Products Limited - 0% Unsecured Convertible Debentures	₹ 100,000	5.82	-	-	5.82
		5.82	**-**	**-**	**5.82**
Non-Trade investments - Unquoted					
(a) Investments with insurance companies *		14.61	0.79	-	15.40
(b) Investments in debentures / bonds		1,338.89	23.00	(361.79)	1,000.10
(c) Investments in tax free bonds		14.11	-	-	14.11
(d) Investments in government securities		11.32	-	(2.19)	9.13
		1,378.93	**23.79**	**(363.98)**	**1,038.74**
		1,755.23	**44.79**	**(363.98)**	**1,436.04**

* The movement is on account of fair valuation through profit and loss.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

(ii) **Details of non-current investments (other than mutual funds) purchased and sold during the previous year:**

	Face value per unit	As at 1 April 2019	Purchased during the year	Provided / Reclassed / Sold / Redeemed / Written off / Written back during the year	As at 31 March 2020
Trade investments - Unquoted					
(a) Investments in equity instruments (fully paid)					
Subsidiaries					
Sunrise Biscuit Company Private Limited	₹ 10	14.03	-	-	14.03
Ganges Vally Foods Private Limited	₹ 10	10.61	15.41	-	26.02
J B Mangharam Foods Private Limited	₹ 10	0.54	-	-	0.54
International Bakery Products Limited	₹ 10	1.75	-	-	1.75
Manna Foods Private Limited	₹ 10	4.67	-	-	4.67
Britannia Dairy Private Limited	₹ 10	70.02	-	-	70.02
Boribunder Finance and Investments Private Limited	₹ 10	2.58	-	-	2.58
Britchip Foods Limited	₹ 10	51.00	18.00	-	69.00
Britannia Nepal Private Limited	NPR 100	55.00	-	-	55.00
Britannia Bangladesh Private Limited	Tk.10	-	0.34	-	0.34
Britannia Dairy Holdings Private Limited, Mauritius	USD 1	0.01	-	-	0.01
Daily Bread Gourmet Foods (India) Private Limited	₹ 4	2.00	-	(2.00)	-
Britannia and Associates (Mauritius) Private Limited, Mauritius	USD 1	121.69	-	-	121.69
Less: Provision for diminution in value of investments [Refer note 34]		(35.00)	-	19.00	(16.00)
		298.90	**33.75**	**17.00**	**349.65**
Associates					
Klassik Foods Private Limited	₹ 100	0.32	-	(0.32)	-
Nalanda Biscuits Company Limited	₹ 10	0.28	-	-	0.28
Sunandaram Foods Private Limited	₹ 10	14.50	-	-	14.50
		15.10	**-**	**(0.32)**	**14.78**
(b) Investments in preference shares (fully paid)					
Subsidiaries					
Britannia Dairy Private Limited - 10% Non Cumulative Redeemable Preference Shares	₹ 10	6.00	-	-	6.00
Britannia Dairy Holdings Private Limited, Mauritius - Class C - Preference Shares	USD 1	0.05	-	-	0.05
		6.05	**-**	**-**	**6.05**

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

	Face value per unit	As at 1 April 2019	Purchased during the year	Provided / Reclassed / Sold / Redeemed / Written off / Written back during the year	As at 31 March 2020
(c) Investments in debentures / bonds					
Subsidiaries					
International Bakery Products Limited - 0% Unsecured Convertible Debentures	₹ 100,000	5.82	-	-	5.82
		5.82	**-**	**-**	**5.82**
Non-Trade investments - Unquoted					
(a) Investments with insurance companies *		13.34	1.27	-	14.61
(b) Investments in debentures / bonds		414.06	978.90	(54.07)	1,338.89
(c) Investments in tax free bonds		14.11	-	-	14.11
(d) Investments in government securities		12.29	-	(0.97)	11.32
		453.80	**980.17**	**(55.04)**	**1,378.93**
		779.67	**1,013.92**	**(38.36)**	**1,755.23**

* The movement is on account of fair valuation through profit and loss.

(iii) Details of Current investments (other than mutual funds) purchased and sold during the current year:

	As at 1 April 2020	Purchased / Reclassed from non-current during the year	Sold / Redeemed during the year	As at 31 March 2021
(a) Investments in debentures / bonds	100.93	11.80	(100.93)	11.80
(b) Investments in government securities	0.97	2.19	(0.97)	2.19
	101.90	**13.99**	**(101.90)**	**13.99**

(iv) Details of Current investments (other than mutual funds) purchased and sold during the previous year:

	As at 1 April 2019	Purchased / Reclassed from non-current during the year	Sold / Redeemed during the year	As at 31 March 2020
(a) Investments in debentures / bonds	101.79	100.93	(101.79)	100.93
(b) Investments in government securities	-	0.97	-	0.97
	101.79	**101.90**	**(101.79)**	**101.90**

₹ in Crores

Note 39 (a)Details of loans during the year:

Name of borrower	Nature of relationship	Secured/ unsecured	Rate of interest	Term	As at 1 April 2020	Given during the year	Repayment during the year	As at 31 March 2021
Purbasha Properties Private Limited*	Others	Unsecured	10%	10 years	0.09	-	-	0.09
					0.09	-	-	0.09

Details of loans during the previous year:

Name of borrower	Nature of relationship	Secured/ unsecured	Rate of interest	Term	As at 1 April 2019	Given during the year	Repayment during the year	As at 31 March 2020
Purbasha Properties Private Limited*	Others	Unsecured	10%	10 years	0.51	-	0.42	0.09
Varun Berry**	KMP	Unsecured	7.25%	4 months	-	23.96	23.96	-
					0.51	23.96	24.38	0.09

* The loan was given for project expansion.

**The loan was given for subscription to equity shares under the Employee Stock Option Scheme.

(b) Details of inter corporate deposits during the year:

Name of borrower	Nature of relationship	Secured/ unsecured	As at 31 March					
			Rate of interest	Term	As at 1 April 2020	Placed during the year	Refunded during the year	As at 31 March 2021
Bajaj Finance Limited	Others	Unsecured	7.45%	1 year	353.00	50.00	290.00	113.00
Bombay Dyeing & Manufacturing Co. Ltd.	Related Party	Unsecured	10.00%	1 year	350.00	290.00	350.00	290.00
The Bombay Burmah Trading Corporation Limited	Related Party	Unsecured	8.75%	1 year	-	700.00	200.00	500.00
Go Airlines (India) Limited	Related Party	Unsecured	10.00%	1 year	250.00	70.00	320.00	-
HDFC Limited	Others	Unsecured	6.80-7.20%	1 year	125.00	25.00	150.00	-
LIC Housing Finance Limited	Others	Unsecured	6.00-7.55%	1 to 2 years	114.00	58.00	76.00	96.00
Macrofil Investments Limited	Others	Unsecured	10.00%	1 year	30.00	-	30.00	-
Standard Chartered Investments and Loans (India) Ltd	Others	Unsecured	7.50%	6 months	25.00	-	25.00	-
					1,247.00	1,193.00	1,441.00	999.00

₹ in Crores

Details of inter corporate deposits during the previous year:

Name of borrower	Nature of relationship	Secured/ unsecured	As at 31 March: Rate of interest	As at 31 March: Term	As at 1 April 2019	Placed during the year	Refunded during the year	As at 31 March 2020
Bajaj Finance Limited	Others	Unsecured	6.90 - 8.35%	1 to 2 years	225.00	353.00	225.00	353.00
Kotak Mahindra Investments Limited	Others	Unsecured	9.10 - 9.15%	1 year	32.00	-	32.00	-
Shriram Transport Finance Company Limited	Others	Unsecured	7.85%	1 year	25.00	-	25.00	-
Bombay Dyeing & Manufacturing Co. Ltd.	Related Party	Unsecured	10.00%	1 year	350.00	350.00	350.00	350.00
Go Airlines (India) Limited	Related Party	Unsecured	10.00%	1 year	335.00	160.00	245.00	250.00
HDFC Limited	Others	Unsecured	6.90-7.20%	1 year	150.00	125.00	150.00	125.00
LIC Housing Finance Limited	Others	Unsecured	7.50-7.85%	1 to 2 years	-	114.00	-	114.00
Sterling & Wilson Solar Limited	Others	Unsecured	12.50%	6 months	-	50.00	50.00	-
Macrofil Investments Limited	Others	Unsecured	10.00%	1 year	-	75.00	45.00	30.00
Standard Chartered Investments and Loans (India) Ltd	Others	Unsecured	7.50%	6 months	-	25.00	-	25.00
					1,117.00	1,252.00	1,122.00	1,247.00

Note 40 Details of corporate guarantee:

	As at 1 April 2020	Given during the year	Withdrawn during the year	Adjustments *	As at 31 March 2021
Britannia and Associates (Mauritius) Private Limited - Cooperatieve Rabobank U.A	90.40	-	-	(2.66)	87.73

	As at 1 April 2019	Given during the year	Withdrawn during the year	Adjustments *	As at 31 March 2020
Britannia and Associates (Mauritius) Private Limited - Cooperatieve Rabobank U.A	-	85.10	-	5.30	90.40
Britannia and Associates (Mauritius) Private Limited - MUFG bank Ltd. (previously known as Bank of Tokyo)	89.93	-	(92.19)	2.26	-

* The movement in corporate guarantee is mainly on account of change in exchange rates.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Note 41 In accordance with Ind AS 37 - "Provisions, Contingent Liabilities and Contingent Assets", notified under Section 133 of the Act, certain classes of liabilities have been identified as provisions which have been disclosed as under:

		1 April 2020	Additions *	Utilisation *	Reversals / adjustments *	31 March 2021
(a)	Excise duty and service tax related issues	7.55	0.23	(0.12)	(0.10)	7.56
(b)	Sales tax and other issues	134.47	10.25	-	(8.82)	135.90
(c)	Trade and other issues	89.77	109.63	-	-	199.40
		1 April 2019	**Additions ***	**Utilisation ***	**Reversals / adjustments ***	**31 March 2020**
(a)	Excise duty and service tax related issues	23.39	1.57	(2.52)	(14.89)	7.55
(b)	Sales tax and other issues	128.08	9.64	(1.50)	(1.75)	134.47
(c)	Trade and other issues	21.57	80.42	(3.41)	(8.81)	89.77

(a) and (b) represents estimates made for probable cash outflow arising out of pending disputes / litigations with various regulatory authorities.

(c) represents provisions made for probable liabilities / claims arising out of commercial/ other transactions. Further disclosures as required under Ind AS 37 are not made since it can be prejudicial to the interests of the Company.

* Included under various heads in the Statement of Profit and Loss.

Note 42 Earnings per equity share

		31 March 2021	31 March 2020
(a)	Net profit attributable to the equity shareholders	1,760.03	1,484.30
(b)	Weighted average number of equity shares outstanding during the year	240,716,747	240,379,360
(c)	Effect of potential equity shares on employee stock option outstanding	83,443	59,021
(d)	Weighted average number of equity shares outstanding for computing diluted earnings per share [(b)+(c)]	240,800,190	240,438,381
	Nominal value of equity shares (₹) [Refer note 43]	1	1
	Basic earnings per share (₹)	73.12	61.75
	Diluted earnings per share (₹)	73.09	61.73

Note 43 The Board of Directors at their Meeting held on 23 August 2018 approved the sub-division of each equity share of face value of ₹ 2 fully paid up into 2 equity shares of face value of ₹ 1 each fully paid up. The same was approved by the Members on 15 October 2018 through postal ballot and e-voting. The effective date for the sub-division was 30 November 2018.

Note 44 Segmental information

The Chief Operating Decision Maker (CODM) evaluates the Company's performance and allocates resources based on an analysis of various performance indicators by industry classes.

The operating segment of the Company is identified to be "Foods" as the CODM reviews business performance at an overall Company level as one segment.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Note 45 Related parties

Relationships

A) *Parties where control exists:*

1.	Ultimate holding company	The Bombay Burmah Trading Corporation Limited
	Holding company	Associated Biscuits International Limited (ABIL), UK
2.	Subsidiary companies	Al Sallan Food Industries Co. SAOC
		Boribunder Finance and Investments Private Limited
		Britannia and Associates (Dubai) Private Company Limited, Dubai
		Britannia and Associates (Mauritius) Private Limited, Mauritius
		Britannia Dairy Holdings Private Limited, Mauritius
		Britannia Dairy Private Limited
		Britchip Foods Limited
		Britannia Bangladesh Private Limited ^
		Britannia Nepal Private Limited
		Britannia Egypt LLC ^^
		Daily Bread Gourmet Foods (India) Private Limited ^^^
		Flora Investments Company Private Limited
		Ganges Vally Foods Private Limited
		Gilt Edge Finance and Investments Private Limited
		International Bakery Products Limited
		J B Mangharam Foods Private Limited
		Manna Foods Private Limited
		Strategic Brands Holding Company Limited, Dubai
		Strategic Food International Co. LLC, Dubai
		Sunrise Biscuit Company Private Limited
		Vasana Agrex and Herbs Private Limited
		Snacko Bisc Private Limited

B) *Parties under common control where transactions have taken place:*

1.	Fellow subsidiary companies	Bannatyne Enterprises Pte Limited, Singapore
		Dowbiggin Enterprises Pte Limited, Singapore
		Nacupa Enterprises Pte Limited, Singapore
		Spargo Enterprises Pte Limited, Singapore
		Valletort Enterprises Pte Limited, Singapore

C) *Other Related parties where transactions have taken place:*

1.	Associates	Klassik Foods Private Limited *
		Nalanda Biscuits Company Limited
		Sunandaram Foods Private Limited
2.	Other related party	Bombay Dyeing & Manufacturing Co. Ltd.
		Go Airlines (India) Limited
		Avijit Deb Partners, LLP
3.	Post employment-benefit plan entities	Britannia Industries Limited Management Staff Provident Fund
		Britannia Industries Limited Covenanted Staff Gratuity Fund
		Britannia Industries Limited Non Covenanted Staff Gratuity Fund
		Britannia Industries Limited Covenanted Staff Pension Fund
		Britannia Industries Limited Officers Pension Fund

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

4. Key Management Personnel (KMP)

Managing Director	Mr. Varun Berry
Chief Financial Officer	Mr. N.Venkataraman
Company Secretary	Mr. T.V. Thulsidass
Non-Executive Directors	Mr. Nusli N Wadia
	Mr. A K Hirjee #
	Mr. Keki Elavia
	Mr. Avijit Deb
	Mr. Jeh N Wadia
	Mr. Keki Dadiseth
	Dr. Ajai Puri
	Mr. Ness N Wadia
	Dr. Y.S.P.Thorat
	Dr. Ajay Shah
	Mrs. Tanya Dubash
	Dr. Urjit Patel ##
	Mr. Nimesh N Kampani ###
	Mrs. Ranjana Kumar ###

^ On 25 July 2019, a wholly owned subsidiary in Bangladesh was incorporated.

^^ On 13 October 2020, a wholly owned subsidiary in Egypt was incorporated.

^^^ Company was liquidated in the year 2019.

* During the previous year, the Company sold equity shares held in Klassik Foods Private limited and does not hold any stake in the entity as at the balance sheet date.

Ceased to be a director effective 27 September 2020 on account of his demise.

Dr. Urjit Patel was appointed as additional and independent director of the Company on 31 March 2021.

Mr. Nimesh N Kampani and Mrs. Ranjana Kumar retired as director on 12 August 2019.

Related party transactions during the year:

	Relationship	31 March 2021	31 March 2020
Investments made			
Equity shares:			
Britchip Foods Limited	Subsidiary	21.00	18.00
Ganges Vally Foods Private Limited	Subsidiary	-	15.41
Britannia Bangladesh Private Limited	Subsidiary	-	0.34
Total		**21.00**	**33.75**
Investments received back			
Daily Bread Gourmet Foods (India) Private Limited	Subsidiary	-	**3.66**
Sale of Non - convertible debentures			
Britannia Dairy Private Limited	Subsidiary	**200.00**	-
Purchase of property,plant and equipment			
Britchip Foods Limited	Subsidiary	**1.80**	-

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

	Relationship	31 March 2021	31 March 2020
Inter-corporate deposits placed			
Bombay Dyeing & Manufacturing Co. Ltd.	Other related party	290.00	350.00
The Bombay Burmah Trading Corporation Limited	Ultimate Holding Company	700.00	
Go Airlines (India) Limited	Other related party	70.00	160.00
Total		1,060.00	510.00
Inter-corporate deposits redeemed			
Bombay Dyeing & Manufacturing Co. Ltd.	Other related party	350.00	350.00
The Bombay Burmah Trading Corporation Limited	Ultimate Holding Company	200.00	-
Go Airlines (India) Limited	Other related party	320.00	245.00
Total		870.00	595.00
Contributions during the year (includes Employees' share and contribution)			
Britannia Industries Limited Management Staff Provident Fund	Post employment-benefit plan entities	22.77	17.38
Britannia Industries Limited Covenanted Staff Gratuity Fund		2.36	1.84
Britannia Industries Limited Non Covenanted Staff Gratuity Fund		4.68	3.40
Britannia Industries Limited Covenanted Staff Pension Fund		0.22	0.24
Britannia Industries Limited Officers Pension Fund		0.21	0.26
Total		30.24	23.12
Shared service income & Distributor margin			
Britannia Dairy Private Limited	Subsidiary	1.60	1.60
Britchip Foods Limited	Subsidiary	2.65	2.80
Total		4.25	4.40
Other business service income			
Britannia Dairy Private Limited	Subsidiary	3.04	1.93
Rental income			
Britchip Foods Limited	Subsidiary	2.99	2.99
Total		2.99	2.99
Remittance of dividend			
Associated Biscuits International Limited (ABIL), UK	Holding company	1,272.15	161.71
Others	Fellow subsidiary companies	166.30	20.91
Total		1,438.45	182.62
Issue of Bonus Debentures			
Associated Biscuits International Limited (ABIL), UK	Holding company	-	323.43
Others	Fellow subsidiary companies	-	41.83
Total		-	365.26

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

	Relationship	31 March 2021	31 March 2020
SAP license fee recovered from			
J B Mangharam Foods Private Limited	Subsidiary	0.03	0.03
International Bakery Products Limited	Subsidiary	0.05	0.06
Ganges Vally Foods Private Limited	Subsidiary	-	0.01
Manna Foods Private Limited	Subsidiary	0.05	0.04
Sunrise Biscuit Company Private Limited	Subsidiary	0.03	0.01
Strategic Food International Co. LLC, Dubai	Subsidiary	0.09	0.09
Al Sallan Food Industries Co. SAOC	Subsidiary	0.07	0.08
Total		**0.32**	**0.32**
Purchase of finished goods / consumables and ingredients			
Nalanda Biscuits Company Limited	Associate	63.76	71.37
Sunandaram Foods Private Limited	Associate	64.30	66.51
J B Mangharam Foods Private Limited	Subsidiary	280.57	241.82
Britchip Foods Limited	Subsidiary	21.32	31.14
Manna Foods Private Limited	Subsidiary	331.26	191.43
International Bakery Products Limited	Subsidiary	359.78	121.86
Total		**1,120.99**	**724.13**
Conversion and rental charges			
International Bakery Products Limited	Subsidiary	-	33.66
Ganges Vally Foods Private Limited	Subsidiary	0.40	0.23
Manna Foods Private Limited	Subsidiary	-	14.00
Sunrise Biscuit Company Private Limited	Subsidiary	15.47	21.65
Total		**15.87**	**69.54**
Sale of goods / consumables and ingredients			
Strategic Food International Co. LLC, Dubai	Subsidiary	36.03	51.36
Nalanda Biscuits Company Limited	Associate	1.62	3.23
Sunandaram Foods Private Limited	Associate	1.22	1.08
J B Mangharam Foods Private Limited	Subsidiary	4.55	6.49
Britchip Foods Limited	Subsidiary	0.91	1.64
Go Airlines (India) Limited	Other related party	-	0.18
Manna Foods Private Limited	Subsidiary	20.74	21.47
International Bakery Products Limited	Subsidiary	28.31	23.87
Total		**93.38**	**109.32**
Sale of assets			
Manna Foods Private Limited	Subsidiary	-	**0.01**

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

	Relationship	31 March 2021	31 March 2020
Interest & dividend income and corporate guarantee fees			
Britannia and Associates (Mauritius) Private Limited, Mauritius	Subsidiary	0.27	0.28
The Bombay Burmah Trading Corporation Limited	Ultimate Holding Company	36.02	-
Bombay Dyeing & Manufacturing Co. Ltd.	Other related party	25.96	34.91
Go Airlines (India) Limited	Other related party	4.03	21.79
Varun Berry	KMP	-	0.16
Britannia Dairy Private Limited	Subsidiary	-	66.47
Total		**66.28**	**123.61**
Reimbursement of expenses			
Strategic Food International Co. LLC, Dubai	Subsidiary	21.59	29.45
Bombay Dyeing & Manufacturing Co. Ltd.	Other related party	0.14	2.67
The Bombay Burmah Trading Corporation Limited	Ultimate Holding Company	1.22	-
Britchip Foods Limited	Subsidiary	0.64	-
Vasana Agrex and Herbs Private Limited	Subsidiary	0.01	-
Snacko Bisc Private Limited	Subsidiary	0.01	-
Total		**23.61**	**32.12**
Professional charges			
Avijit Deb Partners, LLP	Other related party	**0.16**	**0.43**
Recovery of other expenses			
Britchip Foods Limited	Subsidiary	**9.55**	**16.58**
Recovery of guest house expenses			
Bombay Dyeing & Manufacturing Co. Ltd.	Other related party	-	0.13
Go Airlines (India) Limited	Other related party	-	0.04
Total		-	**0.17**
Royalty income			
Strategic Food International Co. LLC, Dubai	Subsidiary	16.63	12.67
Britchip Foods Limited	Subsidiary	0.19	0.30
Total		**16.82**	**12.97**
Key management personnel compensation			
Short-term employee benefits		13.09	12.21
Post-employment defined benefits		0.48	0.44
Other long term employee benefits		0.51	0.51
Share-based payments		18.94	21.58
Sitting fees		0.96	0.92
Commission		18.00	11.50
Travelling expenses & others		0.03	0.25

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

	Relationship	31 March 2021	31 March 2020
Shares allotted under employee stock option scheme for consideration received during the year			
Mr. Varun Berry	KMP		
Equity shares		0.04	0.02
Securities premium		103.11	23.95
Total		**103.15**	**23.97**
Loan given to			
Varun Berry	KMP	-	**23.96**
Loan repaid by			
Varun Berry	KMP	-	**23.96**
Related party closing balances as on balance sheet date:			
Outstanding - net receivables / (payables)			
Ganges Vally Foods Private Limited	Subsidiary	(0.08)	(0.11)
J B Mangharam Foods Private Limited	Subsidiary	(9.47)	(4.64)
International Bakery Products Limited	Subsidiary	(9.68)	(5.78)
Sunrise Biscuit Company Private Limited	Subsidiary	(8.83)	(8.64)
Manna Foods Private Limited	Subsidiary	(1.56)	1.60
Al Sallan Food Industries Co. SAOC	Subsidiary	0.06	0.07
Strategic Food International Co. LLC, Dubai	Subsidiary	(9.30)	1.77
Britannia and Associates (Mauritius) Private Limited, Mauritius	Subsidiary	0.31	0.01
Britannia Dairy Private Limited	Subsidiary	(19.80)	(0.50)
Britchip Foods Limited	Subsidiary	(0.11)	0.05
Nalanda Biscuits Company Limited	Associate	0.56	1.25
Klassik Foods Private Limited	Associate	-	0.04
Sunandaram Foods Private Limited	Associate	4.10	5.60
The Bombay Burmah Trading Corporation Limited	Ultimate Holding Company	513.06	0.07
Bombay Dyeing & Manufacturing Co. Ltd.	Other related party	298.47	359.15
Go Airlines (India) Limited	Other related party	0.09	256.43
Total		**757.82**	**606.37**
Provision for doubtful loans / advances			
Manna Foods Private Limited	Subsidiary	-	1.04
Total		-	**1.04**
Investment in debentures held			
International Bakery Products Limited	Subsidiary	**5.82**	**5.82**
Investment in shares held			
Britannia Dairy Private Limited	Subsidiary	76.02	76.02
Britannia and Associates (Mauritius) Private Limited, Mauritius	Subsidiary	121.69	121.69

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

	Relationship	31 March 2021	31 March 2020
Sunrise Biscuit Company Private Limited	Subsidiary	14.03	14.03
Ganges Vally Foods Private Limited	Subsidiary	26.02	26.02
J B Mangharam Foods Private Limited	Subsidiary	0.54	0.54
International Bakery Products Limited	Subsidiary	1.75	1.75
Boribunder Finance and Investments Private Limited	Subsidiary	2.58	2.58
Manna Foods Private Limited	Subsidiary	4.67	4.67
Britannia Dairy Holdings Private Limited, Mauritius	Subsidiary	0.06	0.06
Britchip Foods Limited	Subsidiary	90.00	69.00
Britannia Nepal Private Limited	Subsidiary	55.00	55.00
Nalanda Biscuits Company Limited	Associate	0.28	0.28
Sunandaram Foods Private Limited	Associate	14.50	14.50
Britannia Bangladesh Private Limited	Subsidiary	0.34	0.34
Total		407.48	386.48
Provision for diminution in value of investment			
Ganges Vally Foods Private Limited	Subsidiary	16.00	16.00
Total		16.00	16.00
Corporate Guarantee			
Britannia and Associates (Mauritius) Private Limited, Mauritius	Subsidiary	87.73	90.40
Stand by letter of credit			
Britannia Nepal Private Limited	Subsidiary	30.00	30.00
Letter of awareness / comfort			
Strategic Food International Co. LLC, Dubai	Subsidiary	9.95	10.25
Al Sallan Food Industries Co. SAOC	Subsidiary	-	9.78
J B Mangharam Foods Private Limited	Subsidiary	25.00	25.00
Manna Foods Private Limited	Subsidiary	63.50	63.50
International Bakery Products Limited	Subsidiary	30.00	30.00
Total		128.45	138.53
Letter of financial and operational support / undertaking given to the following subsidiaries:			
Strategic Food International Co. LLC, Dubai	Subsidiary		
Al Sallan Food Industries Co. SAOC	Subsidiary		
Britannia and Associates (Mauritius) Private Limited, Mauritius	Subsidiary		
Britannia and Associates (Dubai) Private Company Limited, Dubai	Subsidiary		
Strategic Brands Holding Company Limited, Dubai	Subsidiary		
Vasana Agrex and Herbs Private Limited	Subsidiary		
Snacko Bisc Private Limited	Subsidiary		

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

	Relationship	31 March 2021	31 March 2020
Sunrise Biscuit Company Private Limited	Subsidiary		
Ganges Vally Foods Private Limited	Subsidiary		
Britchip Foods Limited	Subsidiary		

Note:

(i) The above information has been determined to the extent such parties have been identified on the basis of information available with the Company and relied upon by the auditors.

(ii) Transactions reported above are excluding taxes.

Note 46 Employee benefits

(a) Post retirement benefit - Defined contribution plans

(i) The Company has recognised an amount of ₹ 6.49 (31 March 2020: ₹ 6.20) as expenses under the defined contribution plans in the Statement of Profit and Loss for the year:

	31 March 2021	31 March 2020
Benefit (Contribution to)		
Provident Fund	3.29	2.39
Family Pension Scheme	2.74	3.31
Pension Fund	0.46	0.50
Total	6.49	6.20

(b) Post retirement benefit - Defined benefit plans

I. Provident fund - Contribution made by the Company during the year to the self administered Trust fund is ₹ 7.51 (31 March 2020: ₹ 7.04). With regard to the assets of the fund and the return on the investments, the Company does not expect any significant deficiency in the foreseeable future.

II. The Company has two funds: Britannia Industries Limited Covenanted Staff Gratuity Fund and Britannia Industries Limited Non Covenanted Staff Gratuity Fund, which are funded defined benefit plans for qualifying employees.

(i) The Scheme in relation to Britannia Industries Limited Non Covenanted Staff Gratuity Fund provides for lumpsum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 days salary payable for each completed year of service or part thereof in excess of six months subject to the maximum amount payable as per the Payment of Gratuity Act, 1972.

(ii) The Scheme in relation to Britannia Industries Limited Covenanted Staff Gratuity Fund provides for lumpsum payment to vested employees at retirement, death while in employment or on termination of employment of an amount equivalent to 15 days salary payable for each completed year of service or part thereof in excess of six months subject to the higher of maximum amount payable as per the Payment of Gratuity Act, 1972 and twenty months salary.

Vesting (for both the funds mentioned above) occurs in accordance with the provisions of the Payment of Gratuity Act, 1972. The present value of the defined benefit obligation and the related current service cost are measured using the projected unit credit method with actuarial valuation being carried out at balance sheet date.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

		31 March 2021	31 March 2020
1.	Reconciliation of net defined benefit asset / (liability)		
(i)	Reconciliation of present value of defined benefit obligation		
	Obligations as at 1 April	29.83	21.94
	Service cost	4.36	3.02
	Interest cost	1.70	1.57
	Benefits settled	(2.06)	(2.69)
	Actuarial (gain) / loss due to demographic assumptions	-	-
	Actuarial (gain) / loss due to financial assumptions	(1.87)	4.21
	Actuarial (gain) / loss due to experience adjustments	0.12	1.78
	Obligations as at year end 31 March	32.08	29.83
(ii)	Reconciliation of present value of plan asset:		
	Plan assets as at 1 April at fair value	28.44	23.86
	Expected return on plan assets	1.85	1.94
	Return on assets excluding interest income	1.52	0.09
	Contributions	6.86	5.24
	Benefits settled	(2.06)	(2.69)
	Plan assets as at 31 March at fair value	36.61	28.44
(iii)	Reconciliation of net defined benefit asset:		
	Present value of obligation as at 31 March	32.08	29.83
	Plan assets as at 31 March at fair value	36.61	28.44
	Amount recognised in balance sheet asset	4.54	(1.38)
2.	Expenses recognised in the Statement of Profit and Loss under Employee benefit expense:		
	Current service cost	4.36	3.02
	Interest cost	1.70	1.57
	Interest income	(1.85)	(1.94)
	Net cost	4.21	2.65
3.	Remeasurements recognised in statement of Other comprehensive income:		
	Actuarial (gain)/ loss on defined benefit obligation	(1.75)	5.99
	Return on plan assets excluding interest income	(1.52)	(0.09)
	(Gain) / loss recognised in statement of other comprehensive income	(3.27)	5.90
4.	Amount recognised in the balance sheet:		
	Opening asset	1.38	(1.93)
	Expense (Refer 2 & 3 above)	0.94	8.55
	Employers' contribution paid	(6.86)	(5.24)
	Closing liability / (asset)	(4.54)	1.38
5.	Experience adjustment:		
	On plan liabilities (gain) / loss	0.12	1.78
	On plan assets gain	1.52	0.09

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

		31 March 2021	31 March 2020
6.	Investment details:	% Invested	% Invested
	Government of India securities	-	2.60
	State Government securities	47.95	53.20
	Public sector securities	42.96	37.80
	Mutual funds	9.09	6.40
		100.00	100.00
7.	Principal actuarial assumptions:		
	Discount factor [Refer note (i) below]	6.60%	6.00%
	Estimated rate of return on plan assets [Refer note (ii) below]	6.60%	6.00%
	Attrition rate:		
	Service related:		
	4 years and above	4%	4%
	Below 4 years	25%	25%
	Salary escalation rate [Refer note (iii) below]	7%	7%
	Retirement age (in years)	58	58
8.	Maturity profile of defined benefit obligation:		
	Within 1 year	3.10	2.87
	1-2 year	3.47	2.04
	2-3 year	3.27	3.38
	3-4 year	3.19	3.19
	4-5 year	3.21	3.16
	5- 10 year	21.17	18.91

Notes:

(i) The discount rate is based on the prevailing market yield on Government Securities as at the balance sheet date for the estimated term of obligations.

(ii) The expected return on plan assets is determined considering several applicable factors mainly the composition of the plan assets held, assessed risks of asset management, historical results of the return on plan assets and the Company's policy for plan asset management.

(iii) The estimate of future salary increases considered in actuarial valuation takes into account inflation, seniority, promotion and other relevant factors such as supply and demand in the employment market.

(iv) The disclosure above includes amounts for both Britannia Industries Limited Covenanted Staff Gratuity Fund and Britannia Industries Limited Non Covenanted Staff Gratuity Fund.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Sensitivity analysis

The sensitivity analysis of significant actuarial assumption as at end of reporting period is shown below.

		31 March 2021	31 March 2020
A.	Discount rate		
	Discount rate -50 basis points	33.54	31.23
	Assumptions	6.10%	5.50%
	Discount rate +50 basis points	30.58	28.39
	Assumptions	7.10%	6.50%
B.	Salary escalation rate		
	Salary rate -50 basis points	30.65	28.47
	Assumptions	6.50%	6.50%
	Salary rate +50 basis points	33.45	31.14
	Assumptions	7.50%	7.50%
C.	Withdrawal rate		
	Withdrawal rate -100 basis points	32.26	30.14
	Withdrawal rate +100 basis points	31.76	29.40

Note 47 Government grant

During the year ended 31 March 2013, an amount of ₹ 5 was received towards capital subsidy for the Hajipur Factory, Bihar in accordance with the State Industrial Policy of Bihar. Out of this, an amount of ₹ Nil (31 March 2020: ₹ 0.71) has been credited to the Statement of Profit and Loss (by reducing the depreciation charge for the year) and the outstanding amount of ₹ Nil (31 March 2020: ₹ Nil) has been classified as government grant in the balance sheet [Refer note 3 (k)].

Note 48 Corporate Social Responsibility

During the year, the amount required to be spent on corporate social responsibility activities amounted to ₹ 32.44 (31 March 2020: ₹ 28.43) in accordance with Section 135 of the Act.The following amounts were actually spent during the current & previous year:

For the year ended		31 March 2021	31 March 2020
(i)	Amount spent other than for construction/ acquisition of any asset	32.44	28.43
(ii)	Amount accrued and not spent	-	-
	Total	**32.44**	**28.43**

Note 49

During the year ended 31 March 2016, based on queries received from Securities Exchange Board of India ('SEBI'), the Company conducted a preliminary internal investigation and discovered certain irregularities by M/s Sharepro Services (India) Private Limited ('Sharepro'), the Company's erstwhile Registrar and Share Transfer Agent. Subsequently, the Company filed a criminal complaint against Sharepro and its employees. Pursuant to the directions issued by SEBI in its interim order dated 22 March 2016, the Company appointed an independent external agency to conduct an audit of the records and systems of Sharepro with respect to past transactions. The report of the external agency was submitted with SEBI by the Company vide its letter dated 12 July 2016. In 2019-20, following the receipt of a Show Cause Notice dated 8 November 2019 from SEBI in a related matter, the Company filed a Settlement Application and SEBI passed the settlement order on 17 September, 2020.The Company continues to evaluate additional steps, if any, based on the directions of SEBI or any other regulatory authorities.

Based on consultations with its legal counsel, the Company has been advised that the liability will not devolve on the Company and thus no provision is considered necessary.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Note 50 Research and Development expenses

For the year ended	31 March 2021	31 March 2020
Capital expenditure	0.25	1.99
Revenue expenditure	31.90	31.58
Total	**32.15**	**33.57**

Note 51 Capital management

The Company's policy is to maintain a stable and strong capital structure with a focus on total equity so as to maintain investors, creditors and market confidence and to sustain future development and growth of its business. In order to maintain the capital structure, the Company monitors the return on capital, as well as the level of dividends to equity shareholders. The Company aims to manage its capital efficiently so as to safeguard its ability to continue as a going concern and to optimise returns to all its shareholders. For the purpose of the Company's capital management, capital includes issued capital and all other equity reserves and debt includes non-current borrowings, current borrowings and certain components of other financial liabilities.

The Company monitors capital on the basis of the following gearing ratio.

As at	31 March 2021	31 March 2020
Total debt	1,798.02	1,203.92
Total equity	3,319.53	4,274.65
Debt to equity %	**54.16%**	**28.16%**

Note 52 During the previous year, the Company has received ₹ 3.66 in lieu of equity investments of ₹ 2 (net of write off in the previous years).

Note 53 The Board of Directors of the Company at their meeting held on 17 August 2020 approved the issue of unsecured, non-convertible, redeemable, fully paid-up debentures, along with an appropriate cash component, aggregating to ₹ 41.50 per equity share, subject to applicable taxes, by way of bonus to the Members of the Company, by utilizing the general reserve/surplus in the profit and loss account of the Company under a Scheme of Arrangement("Scheme"). Further, the Board of Directors at their meeting held on 5 October 2020, approved the Scheme of Arrangement between Britannia Industries Limited and its Members under Sections 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Act which, inter alia, provides for (a) Issue of 1 unsecured, non-convertible, redeemable, fully paid up Debenture of face value ₹ 29 each for every 1 fully paid up equity share of face value ₹ 1 each by utilizing the General Reserve of the Company and (b) Payment of dividend of ₹ 12.50 per every 1 fully paid up equity share of face value ₹ 1 each by utilizing its accumulated profits to all the members of the Company, subject to approval of the Scheme by members and statutory/ regulatory authorities including the Stock Exchanges, SEBI and the Hon'ble National Company Law Tribunal, Kolkata bench and subject to deduction/withholding of applicable taxes. The Company received Observation letters from BSE Limited and National Stock Exchange of India Limited for the Scheme of Arrangement on 17 December 2020 and filed the Company application before the Hon'ble National Company Law Tribunal ("Tribunal"), Kolkata Bench on 19 December 2020. The Scheme of Arrangement was approved by Shareholders and Commercial Paper Holders by requisite majority at their meetings convened by Video Conference (VC) on 15 February 2021 as per the directions of the Hon'ble Tribunal. The Company has completed filing the Company Petition with the Hon'ble Tribunal on 24 March 2021 for the sanction of the Scheme and hearing is scheduled on 28 April 2021.

₹ in Crores

Note 54 Financial instruments - fair values and risk management

Accounting classification and fair values

The following table shows the carrying amounts and fair values of financial assets and financial liabilities as at 31 March 2021, including their levels in the fair value hierarchy.

Particulars	Note	Carrying amount					Fair value			
		FVTPL	FVOCI	Other financial assets - amortised cost	Other financial liabilities	Total carrying amount	Level 1	Level 2	Level 3	Total
Financial assets measured at fair value										
Investment in mutual funds	7 & 12	1,500.09	-	-	-	1,500.09	-	1,500.09	-	1,500.09
Investments with insurance companies	7	15.40	-	-	-	15.40	-	15.40	-	15.40
		1,515.49	-	-	-	**1,515.49**				
Financial assets not measured at fair value										
Investments in debentures/bonds	7 & 12	-	-	1,011.90	-	1,011.90				
Investments in preference shares	7	-	-	6.05	-	6.05				
Investments in in tax free bonds	7	-	-	14.11	-	14.11				
Investments in government securities	7 & 12	-	-	11.32	-	11.32				
Loans receivable	8 & 15	-	-	1,016.82	-	1,016.82				
Other financial assets	9 & 16	-	-	384.38	-	384.38				
Trade receivables	13	-	-	198.36	-	198.36				
Cash and cash equivalents	14	-	-	77.58	-	77.58				
Bank balances	14	-	-	33.22	-	33.22				
		-	-	**2,753.74**	-	**2,753.74**				
Financial liabilities not measured at fair value										
Borrowings	20	-	-	-	1,797.25	1,797.25				
Trade payables	22	-	-	-	1,191.09	1,191.09				
Other financial liabilities	21 & 23	-	-	-	544.60	544.60				
		-	-	-	**3,532.94**	**3,532.94**				

₹ in Crores

The following table shows the carrying amounts and fair values of financial assets and financial liabilities as at 31 March 2020, including their levels in the fair value hierarchy.

Particulars	Note	Carrying amount					Fair value			
		FVTPL	FVOCI	Other financial assets - amortised cost	Other financial liabilities	Total carrying amount	Level 1	Level 2	Level 3	Total
Financial assets measured at fair value										
Investment in mutual funds	7 & 12	1,284.04	-	-	-	1,284.04	-	1,284.04	-	1,284.04
Investments with insurance companies	7	14.61	-	-	-	14.61	-	14.61	-	14.61
		1,298.65	-	-	-	**1,298.65**				
Financial assets not measured at fair value										
Investments in debentures/bonds	7 & 12	-	-	1,439.82	-	1,439.82				
Investments in preference shares	7	-	-	6.05	-	6.05				
Investments in in tax free bonds	7	-	-	14.11	-	14.11				
Investments in government securities	7 & 12	-	-	12.29	-	12.29				
Loans receivable	8 & 15	-	-	1,267.76	-	1,267.76				
Other financial assets	9 & 16	-	-	229.08	-	229.08				
Trade receivables	13	-	-	242.23	-	242.23				
Cash and cash equivalents	14	-	-	21.76	-	21.76				
Bank balances	14	-	-	17.40	-	17.40				
		-	-	**3,250.50**	-	**3,250.50**				
Financial liabilities not measured at fair value										
Borrowings	20	-	-	-	1,202.12	1,202.12				
Trade payables	22	-	-	-	886.70	886.70				
Other financial liabilities	21 & 23	-	-	-	445.16	445.16				
		-	-	-	**2,533.98**	**2,533.98**				

The fair value of cash and cash equivalents, bank balances, trade receivables, loans receivable, investments in tax-free bonds, investments in debentures/bonds, investments in preference shares, investments in government securities, borrowings, trade payables and other financial assets and liabilities approximate their carrying amount largely due to the nature of these instruments. The Company's loans have been contracted at market rates of interest. Accordingly, the carrying value of such loans approximate fair value.

Investments in mutual funds, which are classified as FVTPL are measured using net assets value at the reporting date multiplied by the quantity held.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Financial risk management

The Company's financial risk management is an integral part of how to plan and execute its business strategies. The Company's management risk policy is set by the Board. The Company's activities expose it to a variety of financial risks: credit risk, liquidity risk and market risk. The Company's primary focus is to foresee the unpredictability of financial markets and seek to minimize potential adverse effects on its financial performance. A summary of the risks have been given below.

Credit risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Company's receivables from customers and loans given. Credit risk arises from cash held with banks and financial institutions, as well as credit exposure to customers, including outstanding accounts receivables. The maximum exposure to credit risk is equal to the carrying value of the financial assets. The objective of managing counterparty credit risk is to prevent losses in financial assets. The Company assesses the credit quality of the counterparties, taking into account their financial position, past experience and other factors. Based on our assessment and current estimates the carrying value and the provisions made as at 31 March 2021 is considered adequate.

Trade and other receivables

The Company's exposure to credit risk is influenced mainly by the individual characteristics of each customer. The demographics of the customer, including the default risk of the industry and country in which the customer operates, also has an influence on credit risk assessment. The Company limits its exposure to credit risk from trade receivables by establishing a appropriate credit period for customer. In monitoring customer credit risk, customers are grouped according to their credit characteristics, including whether they are wholesale, retail or institutional customers, their geographic location, industry, trading history with the Company and existence of previous financial difficulties. The default in collection as a percentage to total receivable is low.

The Company's exposure to credit risk for trade receivables by geographic region is as follows:

	Gross carrying amount	
	31 March 2021	31 March 2020
India	168.80	214.60
Others	31.92	29.43
	200.72	**244.03**

The Company's exposure to credit risk for trade receivables by type of counterparty is as follows:

	Gross carrying amount	
	31 March 2021	31 March 2020
Institutional	108.03	133.24
Authorised wholesaler	24.13	44.79
Exports	31.92	29.43
Others	36.64	36.57
	200.72	**244.03**

Movement in the allowance for impairment in trade receivables

	31 March 2021	31 March 2020
Opening balance	1.80	6.64
Amount provided for	0.56	0.26
Reversal of provision for impairment in receivables [Refer note 33]	-	(5.10)
Net remeasurement of loss allowance	**2.36**	**1.80**

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Loans receivables

Movement in the allowance for impairment in loans receivable

	31 March 2021	31 March 2020
Opening balance	1.04	1.04
Reversal of provision for impairment	(1.04)	-
Net remeasurement of loss allowance	-	1.04

Liquidity risk

Liquidity risk is the risk that the Company will not be able to meet its financial obligations as they become due. The Company manages its liquidity risk by ensuring, that it will always have sufficient liquidity to meet its liabilities when due. The Company's corporate treasury department is responsible for liquidity, funding as well as settlement management. In addition, processes and policies related to such risks are overseen by the senior management.

The Company aims to maintain the level of its cash and cash equivalents and other highly marketable debt investments at an amount in excess of expected cash outflows on financial liabilities (other than trade payables) over the next six months. The Company also monitors the level of expected cash inflows on trade receivables and loans together with expected cash outflows on trade payables and other financial liabilities. At 31 March 2021, the expected cash flows from trade receivables is ₹ 198.36 (31 March 2020: ₹ 242.23). This excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters.

In addition, the Company maintains a line of credit of ₹ 930.00 (31 March 2020: ₹ 675.60) overdraft facility with various banks that is unsecured. Interest would be payable basis prevailing MCLR plus applicable margin (31 March 2020 : prevailing MCLR plus applicable margin).

The table below provides details regarding the contractual maturities of significant financial liabilities as at 31 March 2021 and 31 March 2020:

Particulars	As at 31 March 2021		
	Less than 1 year	1-2 years	2 years and above
Non-derivative financial liabilities			
Trade payables (Refer note 22)	1,191.09	-	-
Other financial liabilities (Refer note 21 and 23)	505.28	-	39.32
Borrowings (Refer note 20)	1,075.70	721.55	-
	2,772.07	**721.55**	**39.32**

Particulars	As at 31 March 2020		
	Less than 1 year	1-2 years	2 years and above
Non-derivative financial liabilities			
Trade payables (Refer note 22)	886.70	-	-
Other financial liabilities (Refer note 21 and 23)	414.63	-	30.53
Borrowings (Refer note 20)	479.99	0.71	721.42
	1,781.32	**0.71**	**751.95**

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Market risk

Market risk is the risk that changes in market prices - such as foreign exchange rates and interest rates - will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

Currency risk

The Company is exposed to currency risk to the extent that there is mismatch between the currencies in which sales, purchase are denominated and the respective functional currencies of Company. The Company has export sales (3% of total sales) primarily denominated in US dollars and Euro. At any point in time, the Company hedges 95% to 100% of its estimated foreign currency exposure in respect of sales and purchases over the following 12 months. The Company uses forward exchange contracts to hedge its currency risk, most with a maturity of less than one year from the reporting date.

Exposure to currency risk

The summary quantitative data about the Company's gross exposure to currency risk is as follows:

	31 March 2021		31 March 2020	
	Euro	USD	Euro	USD
Export receivables	-	0.42	-	0.38
Overseas payables	(0.33)	-	-	-

The Company uses forward exchange contracts to hedge the currency exposure and is therefore not exposed to significant currency risk at the respective reporting dates.

Sensitivity analysis

The impact of strengthening/weakening of currency on the Company is not material as Company hedges 95% to 100% of the foreign currency exposure.

Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's exposure to the risk of changes in market interest rates relates primarily to the Company's debt obligations with floating interest rates. The Company's exposure to risk of changes in market interest rate is minimal.

Sensitivity analysis

The sensitivity analysis have been determined based on the exposure to interest rates for debt obligations with floating rates.The impact on the Company of movement in interest rate by 100 basis points higher or lower and considering all other variables constant, is not material.

Impact of COVID-19

The Company has considered the possible effects that may result from COVID-19 on the carrying amounts of financial assets, inventory, receivables, advances, property plant and equipment, intangibles etc as well as liabilities accrued. In developing the assumptions relating to the possible future uncertainties in the economic conditions because of this pandemic, the Company has used internal and external information. Having reviewed the underlying data and based on current estimates, the Company does not expect any material impact on the carrying amount of these assets & liabilities. The impact of COVID-19 on the Company's financial statements may differ from that estimated as at the date of approval of these financial statements and the Company will continue to closely monitor any material changes to future economic conditions.

The Company has also evaluated the impact of the same on the aforementioned risks i.e. credit risk, liquidity risk and market risk and does not foresee any material impact on account of the same.

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in Crores

Note 55 **A. Revenue streams**

The Company is primarily involved in manufacturing and sale of various food products. Other sources of revenue include scrap sales and royalty income.

	Note	31 March 2021	31 March 2020
Sale of goods / Income from operations	26	12,113.65	10,820.57
Other operating revenues	26	265.18	166.11
Revenue from operations		**12,378.83**	**10,986.68**

B. Disaggregation of revenue from contracts with customers

In the following table, revenue from contracts with customers is disaggregated by primary geographical market.

	31 March 2021	31 March 2020
India	11,800.10	10,524.72
Others	313.55	295.85
Sale of goods / Income from operations	**12,113.65**	**10,820.57**

The Company does not incur any cost to obtain or fulfil a contract with the customer.

C. Reconciliation of net sale of goods

	31 March 2021	31 March 2020
Gross Sales Value	12,664.56	11,403.16
Add: Customer loyalty programme	0.75	(0.92)
Less: Stock returns	116.64	124.33
Less: Trade discounts, promotions & channel margins	435.02	457.34
Sale of goods / Income from operations	**12,113.65**	**10,820.57**

Note 56 The financial statements are presented in ₹ crores (rounded off to two decimal places). Those items which are required to be disclosed and which were not presented in the financial statements due to rounding off to the nearest ₹ crore are given below:

₹ in '000

Note No.	Description		31 March 2021	31 March 2020
7	**Non-current investments:**			
(a)	Unquoted - Investments in debentures / bonds			
	The Bengal Chamber of Commerce and Industry 6 1/2 % Non-redeemable registered debentures 1962		4	4
45.	**Related party disclosures under Ind AS 24:**			
		Relationship		
(a)	Outstanding as at year end - net receivables / (payables)			
-	Britannia Dairy Holdings Private Limited, Mauritius	Subsidiary	46	46

NOTES TO STANDALONE FINANCIAL STATEMENTS (CONTINUED)

₹ in '000

Note No.	Description		31 March 2021	31 March 2020
(b)	Purchase of finished goods / consumables and ingredients			
-	Sunrise Biscuit Company Private Limited	Subsidiary	-	18
(c)	Recovery of guest house expenses			
-	Bombay Dyeing & Manufacturing Co. Ltd.	Other related party	41	-

Note 57 During the year ended 31 March 2021, no material foreseeable loss (31 March 2020: Nil) was incurred for any long-term contract including derivative contracts.

As per our report of even date attached
for **Walker Chandiok & Co LLP**
Chartered Accountants
ICAI Firm registration number: 001076N/N500013

Aasheesh Arjun Singh
Partner
Membership number: 210122

Place: Bengaluru
Date : 27 April 2021

for **and on behalf of the Board of Directors**

Nusli N Wadia
Chairman
(DIN:00015731)

Varun Berry
Managing Director
(DIN:05208062)

N.Venkataraman
Chief Financial Officer

T.V.Thulsidass
Company Secretary
(Membership number:A20927)

Place: Bengaluru
Date : 27 April 2021